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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

UNITED STATES

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

DECEMBER 1968

BASIC STATISTICS OF THE UNITED STATES

THE LAND

Area, Continental United States, plus Hawaii and Alaska (thous. sq. km.)	9 363

Population of major cities including their metropolitan areas (1966):	
New York	11 410 000
Chicago	6 732 000
Los Angeles-Long Beach	6 789 000

THE PEOPLE

Population, 1967	199 118 000
Number of inhabitants per sq. km	21
Population, annual net natural increase (average 1962-67)	2 009 800
Net rate of annual natural increase per 1 000 inhabitants (average 1962-67)	10.2

Civilian labour force, 1967	77 347 000
of which:	
Employed in agriculture	3 844 000
Unemployed	2 975 000
Net civilian immigration (annual average 1962-67)	404 000

PRODUCTION

Gross national product in 1967 (billions of US $)	789.7
GNP per head in 1967 (US $)	3 966
Gross fixed capital formation:	
Per cent of GNP in 1967	13.7
Per head in 1967 (US $)	543

Origin of national income in 1967:	
(Per cent of national income)	
Agriculture, forestry and fishing	3.1
Manufacturing	30.4
Construction and mining	6.0
Government and government enterprises	14.6
Other	45.9

THE GOVERNMENT

Government purchases of goods and services, 1967 (per cent of GNP)	22.6
Revenue of Federal, state and local governments, 1967 (per cent of GNP)	30.8
Federal Government debt as ratio of cash receipts from the public, fiscal year 1968 (per cent)	226.8

Composition of the 91st Congress, 1969:

	House of Representatives	Senate
Democrats	243	58
Republicans	192	42
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1967	3 180
Consumption of energy per head, 1966 (metric tons of coal equivalent)	9.6
Number of television sets in use per 1 000 inhabitants, 1966	376

Average hourly gross earnings in manufacturing, 1967 (US $)	2.83
Number of passenger cars in use per 1 000 inabitants, 1966	396
Number of telephones in use per 1 000 inhabitants, 1966	502

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP in 1967	5.8
Main exports 1967 (per cent of US merchandise exports):	
Machinery	25.3
Transport equipment	14.8
Food and live animals	13.3
Crude materials (inedible)	14.3
Chemicals	9.2
Other manufactured goods	11.1
All other	12.0

Imports:	
Imports of goods and services as per cent of GNP in 1967	5.2
Main imports 1967 (per cent of merchandise imports):	
Food, feeds and beverages	17.1
Industrial supplies and materials	43.9
Capital goods	8.9
Automotive vehicles and parts	9.8
Consumer goods (non food)	15.7
All other	4.6

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UNITED STATES

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are : Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

This document was approved
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INTRODUCTION

With proposed measures of fiscal restraint delayed by legislative difficulties, and with an unexpectedly large push from military spending, the US economy grew at a very rapid rate in the first half of 1968. The result was a renewal of excessive pressures on resources, an acceleration in price and wage increases, and a drastic deterioration in the balance on current external transactions. Although the expansion remained strong in the third quarter, there are indications of a slowdown in the final months of the year, influenced by the fiscal programme enacted by Congress in June. With increased fiscal restraint, the first half of 1969 should see a marked easing of demand pressures and improvements of the cost/price performance and the current external balance. Given that there will be a margin of unused resources, some acceleration in the growth of demand in the second half of the year would be both likely and appropriate. Such an acceleration will have to be kept within moderate bounds, however, by appropriate monetary and fiscal policies in order to assure further progress towards price stability and external equilibrium.

Part I of this survey reviews the sources and consequences of the acceleration of the expansion in the first part of 1968, the measures taken to restrict it, and prospects for demand and better price stability in 1969. Part II turns to the continuing problem of the balance of payments. Prospects for an improved performance on current account and for better overall equilibrium are discussed. Part III summarizes the main conclusions, and the policy problems likely to be faced by the next Administration.

I INTERNAL SITUATION

First half of 1968—Stronger Expansion

After slower growth and some easing of demand pressures in 1967, the expansion of activity accelerated to a rapid and unsustainable rate in the first half of 1968. Over the first two quarters real GNP rose at an annual

rate of 6.4 per cent, much faster than capacity rate of growth (estimated at about 4 per cent). The pattern of the advance differed sharply between the two quarters, with inventory investment falling to cushion a large spurt in final sales (GNP less inventory investment) in the first quarter, then rebounding sharply to account for most of the volume gain in the second quarter.

In the first quarter, a simultaneous speed-up of several elements of demand produced a sudden acceleration of real final sales to an annual rate above 10 per cent. Federal, and state and local government expenditures rose sharply, after very slow increases during the previous half-year. About 60 per cent of the increase in federal purchases was in defence expenditures, reflecting an unexpected increase in Vietnam-related spending. Business fixed investment and exports of goods and services also increased strongly after very small gains in the previous half-year. Residential construction advanced, but more slowly than in the previous two quarters. These sectors provided a combined thrust of about $9 ½ billion (1958 prices) to the advance of final sales. The consumer added nearly $11 billion, $3 ½ billion resulting from a sharp drop in the ratio of personal saving to disposable personal income, as consumer spending on durables, notably automobiles, was especially buoyant. Reflecting certain special factors, but mainly stimulated by the rapid advance in production and spending, imports continued their rapid climb begun late in 1967. With stockbuilding also serving as a cushion, dropping by the equivalent of nearly 1 per cent of GNP from the fourth quarter rate, the gain in real GNP was about 6 ½ per cent at annual rate.

The second quarter advance in real final sales was greatly reduced to an annual rate of less than 2 per cent. Federal purchases continued to rise at a rapid rate, but the rise in other sectors' demand slowed markedly. Business capital outlays dipped; the consumer relaxed his pace to a rate roughly one-quarter of that of the first quarter, allowing the savings ratio to move upwards again. But with a strong increase in inventory investment, the second quarter also saw a real GNP rise exceeding 6 per cent at an annual rate.

Second half of 1968—the Beginnings of a Slowdown

Following the passage of the fiscal restraint package in June, a second half slowdown was generally anticipated. Preliminary GNP figures for the third quarter, however, indicated that the cooling-off period had not developed as rapidly as some had hoped; the rate of growth, at 5 per cent, was still above growth in potential. There was another remarkable surge in

Table 1 **Change in GNP Volume**

	Absolute changes in 1958 prices ($ billion, seasonally adjusted annual rates)						Percentage changes at annual rates					
	1967 II / 1966 IV	1967 IV / 1967 II	1968 II / 1967 IV	1968 I / 1967 IV	1968 II / 1968 I	1968 III / 1968 II	1967 II / 1966 IV	1967 IV / 1967 II	1968 II / 1967 IV	1968 I / 1967 IV	1968 II / 1968 I	1968 III / 1968 II
Personal consumption	10.6	2.9	13.4	10.8	2.6	8.2	5.1	1.3	6.3	10.3	2.4	7.5
Durables	2.3	—0.7	5.9	4.3	1.6	3.6	6.5	—1.9	16.8	25.7	8.5	19.5
Non-durables and services	8.3	3.6	7.6	6.4	1.2	4.6	4.8	2.0	4.3	7.3	1.3	5.1
Non-residential fixed investment	—2.1	0.7	0.5	2.5	—2.0	2.1	—5.5	1.9	1.4	14.2	—10.1	11.8
Residential construction	0.5	4.0	0.2	0.3	—0.1	—0.5	5.6	47.4	1.8	5.4	—1.7	—8.5
Exports of goods and services	1.3	0.2	2.8	2.1	0.7	2.9	6.5	1.0	13.8	21.6	6.5	28.6
Imports of goods and services	1.4	2.0	4.5	3.2	1.3	1.5	7.6	10.5	23.2	35.2	12.3	13.9
Federal government purchases	7.2	0.5	4.5	2.5	2.0	—0.6	22.3	1.3	12.3	13.9	10.6	—3.0
State and local government purchases	2.6	0.4	2.7	2.0	0.7	1.5	8.4	1.2	8.3	12.6	4.2	9.0
Final sales	18.4	6.9	19.7	16.9	2.8	12.0	5.8	2.1	5.9	10.4	1.6	7.1
Inventory investment	—16.3	5.7	1.9	—6.0	7.9	—3.1	—4.9[1]	1.7[1]	0.6[1]	—3.5[1]	4.6[1]	—1.8[1]
GNP	2.1	12.6	21.6	10.9	10.7	8.9	0.6	3.8	6.4	6.5	6.3	5.2

1 Annual rate of change in inventory investment as percentage of GNP in initial quarter.

Source : Survey of Current Business.

consumer spending, taking place despite the beginning of additional tax withholding in mid-July. The savings ratio dropped over a percentage point, more than absorbing the impact of the additional tax drain. Spending on automobiles was again strong, as consumers stepped up their purchases before a widely-anticipated price increase. The lack of a substantial immediate impact of the surcharge is not surprising, since adjustments of spending to changes in take-home pay typically involve some delay. However, the sharp fall in the savings ratio is only partly attributable to the delayed reaction to the surchage. It also reflected a return to the spending buoyancy of the first quarter, and possibly a movement towards the lower saving rates of a few years ago. Business fixed investment also rebounded from its decline in the second quarter; but the volume of residential construction fell, reflecting the delayed impact of the first half's monetary stringency. Federal current dollar purchases levelled off sharply, despite a $1 ½ billion salary increase, and fell in volume terms. The rate of advance in real final sales was higher than the average of the first two quarters. The decline in inventory investment was less marked than expected, probably leaving a further adjustment to come in following quarters.

Demand pressures probably hit their peak in the third quarter. The measure which indicates this most clearly is the relationship between actual and potential GNP. From the fourth quarter to 1967, when output was slightly short of potential, through the third quarter of 1968, real GNP grew at an average annual rate of 6 per cent, reaching an output level about 1 ¼ per cent above estimated potential. The unemployment rate moved down over the same period from an average near 4 per cent in 1967 IV, to 3.6 per cent in 1968 III. Capacity utilization in manufacturing, however, actually dropped slightly, as gains in the index of industrial production were relatively sluggish, declining in the third quarter as steel production was reduced to permit the working-off of excess steel stocks. The strains on capacity, then, seem to have been less than in the labour market, and less in manufacturing than in other sectors.

The fourth quarter probably will have registered a further decline in the annual rate of growth. Consumer spending is unlikely to continue as buoyant since a further decline in the savings ratio seems improbable. Indeed, consumer spending may have begun to level off in the middle of the third quarter as retail sales (seasonally adjusted in current prices) declined in September and October. Federal purchases, responding to the spending cuts ordered by Congress in June, should continue to decline in volume terms. Business fixed investment, according to the latest survey published by the Securities Exchange Commission and the Department of Commerce may show a significant gain, although downward revisions have featured recent quarters. Residential construction has shown remark-

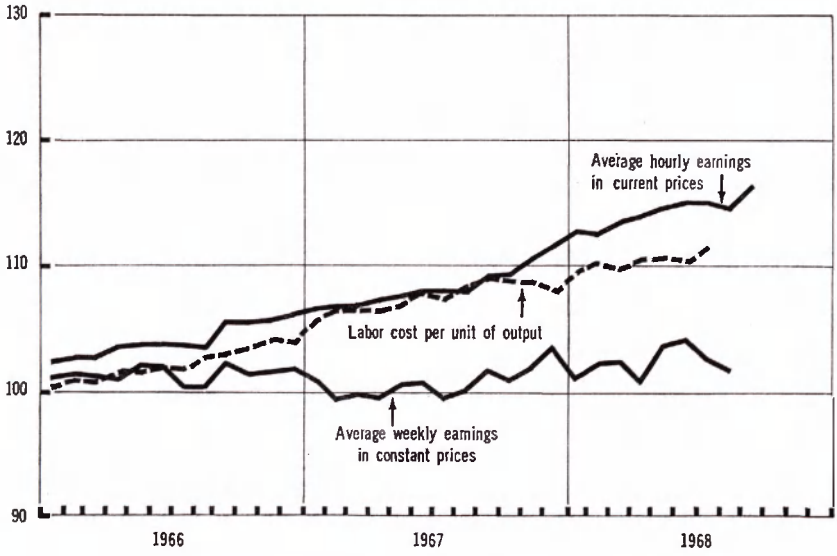
able strength, with housing starts rebounding strongly after stringent financial conditions had produced a decline in May and June.

Trends in Wages and Prices

The strengthening of demand pressures in the first half of this year was accompanied by a marked rise in costs and prices. The annual rate of growth in average hourly earnings in manufacturing was 6 ¼ per cent in the first half, slightly less than in the previous half-year; but with the productivity advance apparently slowing, unit labour costs rose at a stepped-up 5 ½ per cent rate. Wage increases in the service sector, previous lagging behind, have been accelerating sharply to catch up; average hourly earnings in retail trade, for example, rose at an annual rate of some 12 per cent in the first half. Recent collective wage agreements have not been encouraging, carrying an average annual rise of more than 6 ½ per cent, far above the trend increase in labour productivity (somewhat over 3 per cent in the private sector). In the second half, there appears to have been some moderation in the rise of hourly earnings in manufacturing, but a further acceleration in the increase of unit labour costs.

Diagram 1 Wages and Unit Labour Costs in Manufacturing

1965 = 100



Source : Economic Indicators and Business Cycle Developments.

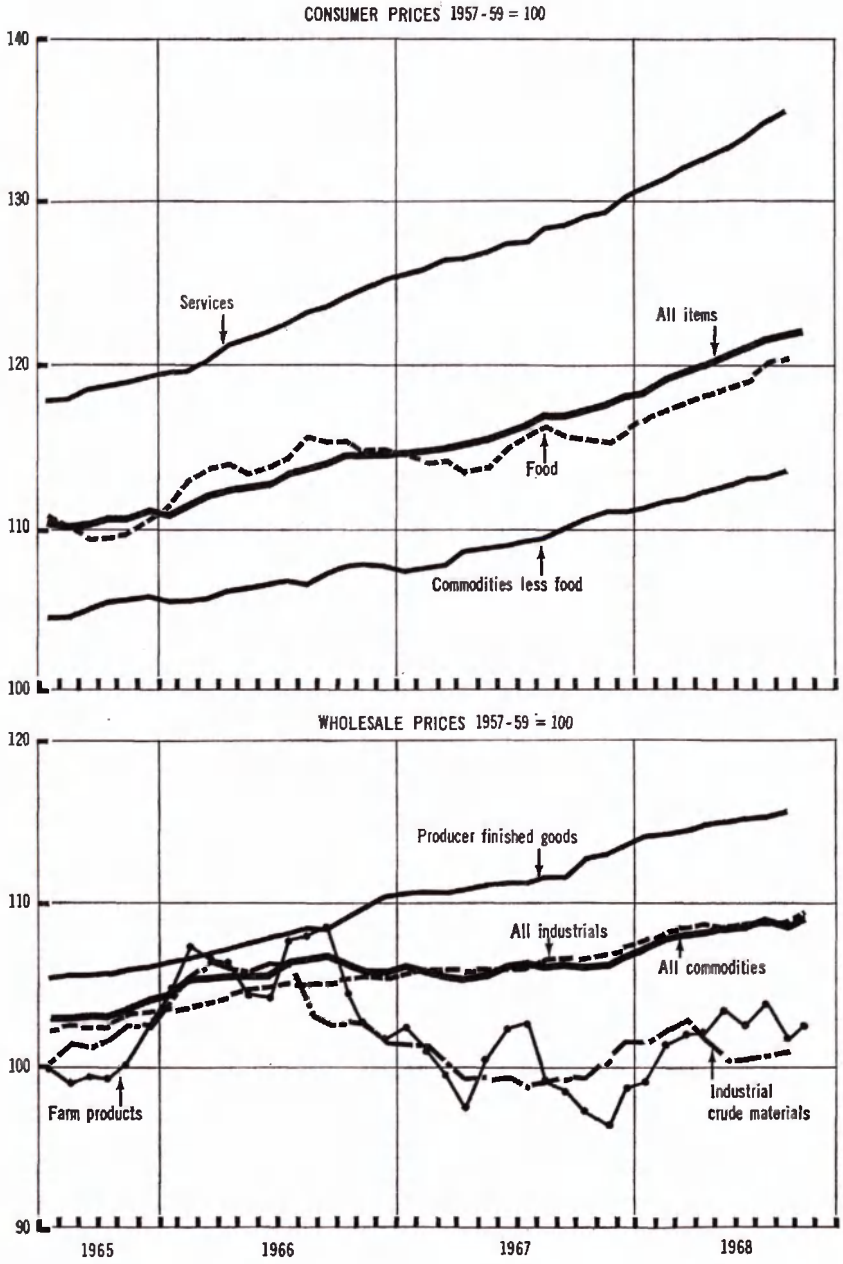
Price increases also accelerated during the first half of 1968. Wholesale prices rose at annual rate of 3.6 per cent compared with somewhat over 1 per cent in the previous six months. The increase in prices of foodstuffs was especially strong as rising consumer demands combined with rather unfavourable supply conditions. Wholesale prices of industrial commodities increased at a 4 per cent annual rate over the first four months, up from 2 $^2/_3$ per cent during the second half of 1967. The effect of rapidly-expanding demand was aggravated by supply limitations for several price-sensitive commodities—in particular strike-affected copper, lumber, and cotton—and the upwards pressure of labour costs. With the easing of supply shortages, industrial wholesale prices remained virtually constant between April and August. General increases in steel prices of some 5 per cent were initially announced after the July wage settlement but were subsequently changed to selective increases averaging only about half that much. These and other industrial price increases were reflected in rises in the September and October index of industrial prices. Most recently, steel prices have come under downward pressures.

The consumer price index also accelerated in the first half, rising at an annual rate above 4 ½ per cent, compared with 3 ¾ per cent in the previous half-year. A sharp acceleration in retail food prices generally reflected developments at the wholesale level. The 3 ½ per cent annual rate of increase in non-food commodities was somewhat less, however, than the rate of advance in the preceding period which had reflected a sizeable increase in automobile prices. Charges for consumer services continued to accelerate, reaching an annual rate of nearly 6 per cent compared with the 4 ¼ per cent rate over the last six months of 1967. Rapid increases in labour costs and a sharp climb in mortgage interest rates were responsible. The consumer price index continued to climb at about the same pace in the second half of 1968. For the third quarter as a whole the comprehensive GNP deflator rose at an annual rate of 3.7 per cent compared with 3.9 per cent in the first half, despite a Federal pay increase taking effect in July which raised the price of government services. For the private sector, the GNP deflator rose at an annual rate of 3.1 per cent in the third quarter, down sharply from the 3.8 per cent rate in the first half of the year.

Monetary Policy and Financial Developments

In the face of inflationary pressures and a sharply worsening trade balance, and in the absence of action on the Administration's proposals for fiscal restraint, monetary policy was tightened in the first half of 1968. In January reserve requirements were raised by ½ per cent on demand deposits in excess of $5 million; this increased required reserves by about $550 million. In March and April the Federal Reserve discount rate was increased

Diagram 2 **Prices**



Source : Economic Indicators.

in two steps from 4 ½ to 5 ½ per cent. Open market operations were used to put pressure on commercial banks' reserves. Seasonally adjusted non-borrowed reserves of member banks declined by 1 per cent between January and April and free reserves became negative in March; the degree of restraint (in terms of free reserves) approached that applied in 1966.

The Banks responded to this pressure largely by disposing of liquid assets acquired during 1967, but the rise in bank loans was also slowed considerably. The money supply, however, grew at a relatively rapid rate, rising at an annual rate of about 6.8 per cent in the first half of 1968—a little faster than in 1967, but greatly above the 2.4 average rate of increase of the decade from 1957 to 1967.

Table 2 **Monetary Indicators**
Percentage change at seasonally adjusted annual rates during period

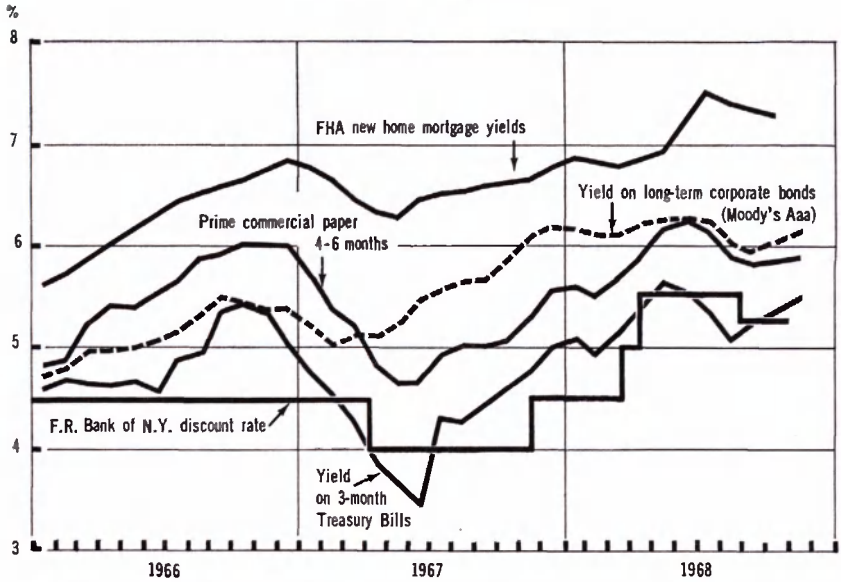
	1967	1968	
	2nd half	1st half	June-Sept.
Member bank's total[1] reserves	8.8	5.4	9.3
Unborrowed reserves[1]	7.4	2.2	13.9
Total bank credit	12.8	6.6	20.4
Bank loans	10.8	7.3	18.8
Money supply	6.1	6.8	4.6
Absolute level of free reserves, average of period, $ million	229	—217	—183[2]
Extreme monthly average in period, $ million	298	—413	—226[2]

1 Adjusted for reserve requirement changes.
2 Refers to July, August and September.
Source : Federal Reserve Bulletin, Economic Indicators.

After the passage of the tax bill in the second part of June, member banks' non-borrowed reserves were allowed to rise at an increased rate. In late August the discount rate was reduced from 5 ½ to 5 ¼ per cent to bring it into line with current market conditions. But with general demand conditions, despite the tax increase, proving to be very buoyant in the third quarter, some monetary indicators have been suggesting less ease. Net borrowed reserves through mid-November were averaging around $200 million. Growth in the money supply, which had accelerated in the spring, slowed later in the second half.

The tighter monetary policy applied in the first half was reflected in climbing interest rates. After a brief dip early in the year, interest rates moved up rather sharply, especially at the shorter end of the market (see diagram).

Diagram 3 **Interest Rates**



Source : Economic Indicators.

In May, the yield on three-month Treasury bills reached 5.9 per cent, surpassing the level reached during the monetary squeeze in 1966, and setting a new record for this century. Long-term yields reached levels ranging from about 5 ½ per cent for long-term government bonds to over 7 per cent for highly-rated corporate borrowers, somewhat above the levels in the beginning of the year. News that the fiscal restraint package would probably finally be adopted had an immediate impact on financial markets; short-term market rates declined rapidly. Reflecting the subsequent easing of monetary policy, the yield on three-month Treasury bills fell below 5 per cent by early August but rose again to 5.6 per cent by late November as financial conditions retightened somewhat. Long-term interest rates moved in the same direction with fluctuations less marked. Bank prime lending rates, which had been reduced from 6 ½ to 6 ¼ per cent in September, were restored to their previous level in early December.

The upturn in market yields in the first half of the year was influenced by continued strong demand for funds in credit and capital markets. Capital markets were congested largely because of the big federal deficit, which led to an increase in Treasury indebtedness in a season normally characterized by debt retirement. Demands for funds by non-financial corporations and state and local governments slackened somewhat from record levels in 1967, but remained high by historical standards. Loans increased substantially mainly because of higher consumer credit for automobile

Table 3 **Total Borrowing in Credit and Capital Markets**
$ billion, seasonally adjusted annual rates

	1966	1967		1968
	2nd half	1st half	2nd half	1st half
US Government	3.9	—6.6	31.9	16.8
Foreign borrowers	0.4	4.6	3.3	4.0
Private domestic non-financial sectors	51.9	61.3	71.5	66.9
Loans	21.1	18.2	17.9	20.8
Securities	14.3	25.9	29.1	22.0
State and local authorities	5.3	10.9	9.3	8.4
Corporations	9.0	15.0	19.8	13.6
Mortgages	16.5	17.2	24.5	24.1
Total	56.2	59.3	106.8	87.7

Source : Federal Reserve Bulletin.

purchases and higher business loans associated with accelerated inventory accumulation.

Demand for mortgage credit was also quite strong in the first half of the year, though the effects of tight monetary policy held the actual expansion of such credit slightly below the rate in the second half of 1967. The constraint was not nearly so great as during the monetary squeeze in 1966 when mortgage lending dropped by about $2 billion (annual rate) in the first half of the year and then by an additional $9 billion in the second half. But major lenders were under pressure, as evidenced by the experience of savings and loan associations. The inflow of funds to such associations declined by $2 billion in the first half of 1968. They limited the decline in their mortgage lending to $1 billion by borrowing fairly heavily from the Federal Home Loan Banks.

Table 4 **Savings and Loan Associations — Sources and Uses of Funds**
$ billion, seasonally adjusted annual rates

	1966	1967		1968
	2nd half	1st half	2nd half	1st half
Increase in savings shares	3.0	12.3	9.0	7.1
Main uses:				
Mortgages	0.8	5.4	9.8	8.9
Liquid assets[1]	0.3	1.5	1.2	1.9
Borrowing (—) or repayments of debts	0.5	5.1	0.3	—1.5
Other	1.2	0.5	—2.3	—2.0

1 Demand deposits, currency, and US Government securities.
Source : Federal Reserve Bulletin.

Since mid-year easier Federal Reserve policy and a large inflow into time and savings deposits has permitted a more rapid growth in bank credit; bank loans picked up sharply but remained slightly below the rate of growth in total bank credit as banks have been rebuilding their liquidity positions through security purchases. The volume of mortgage lending has changed surprisingly little in view of the strength in residential construction.

Fiscal Policy in Retrospect

In January 1967, at a time when the economy was known to be starting an inventory adjustment and a period of slow growth, the Administration proposed a 6 per cent surcharge on personal and corporate income taxes to be effective at mid-year. The aim of this proposal was to moderate the acceleration in economic activity forecast for the second half, and by slowing down the pace of expansion, to improve price performance, external equilibrium, and the balance among different sectors of the economy.

Economic developments in the economy during 1967 were somewhat weaker than anticipated, and the Administration did not press for enactment of the tax increase until early August. At that time, with the economy showing signs of significant acceleration, and with financial markets reacting to the expectation of a large Federal deficit, the Administration re-advanced its proposal for a surcharge, with the level raised to 10 per cent.

In spite of the size of the projected deficit, this proposal met with considerable resistance in the Ways and Means Committee of the House of Representatives which must take initial action on revenue proposals. Current evidence on the strength of aggregate demand was not convincing to many legislators and a certain scepticism was expressed as to the need for fiscal restraint. Late in the year joint congressional and executive action was taken to reduce fiscal 1968 expenditures from the levels then in prospect but the year ended with little apparent progress towards passage of the tax increase.

In January 1968, the Administration continued to press for the tax increase, this time proposing an effective date of 1st April for persons and 1st January for corporations[1]. Resistance to the proposal, however, was still strong, even after it became evident that the economy had entered a period of rapid acceleration and inflationary pressures. Moreover, a battle over social priorities developed, with opponents of the tax increase arguing that spending cuts were a preferable route to fiscal restraint. Opposition

1 Also included in the programme was the continuation of current excise tax rates, slated to be sharply reduced, and an acceleration of corporate income tax payments. Other fiscal measures already adopted were an increase in social insurance tax rates, effective January 1st, producing about $2 billion of added revenue per year, and a marked increase in social security benefit scales, estimated to result in added payments of about $3.5 billion per year.

to domestic social programmes, and in some cases to the Vietnam war, played a role. The serious deterioration in the US trade balance and the international financial crisis in March led to further pressure for enactment. A compromise was finally reached in May, combining the Administration's original proposal with a ceiling on Federal outlays $6 billion below the figures projected in the January 1968 budget. Certain categories of expenditure relating to Vietnam, social security payments, veterans' benefits and services, and interest payments, were exempted. The tax increase and expenditure control legislation was finally signed into law on June 28, 1968.

Before considering the probable impact of the current fiscal programme on current developments and future prospects, it is necessary to examine the role played by fiscal policy in the expansion in the first half of 1968, and examine, in retrospect, how the results might have differed had the original proposal for fiscal restraint been adopted in the autumn of 1967.

Table 5 summarizes Federal expenditure and receipts for the period under examination. Fiscal policy was very expansionary in 1967, with Federal expenditure rising by 15 per cent in current prices. (Spending on goods and services was up by 17 per cent.) Most of the increase in stimulus came in the first half, during the economic slowdown, but expenditure continued to grow fairly rapidly in the second half—at about an 8 per cent annual rate—about matching the growth in revenues.

Fiscal policy added substantial additional stimulus in the first half of 1968, with an acceleration of expenditures to a 14 per cent annual rate, at a time when private demands were also accelerating. An unexpectedly large increase in defence spending, due to developments in Vietnam, was largely responsible, although non-defence spending also grew at a generous pace. Thus, despite a very rapid growth in revenues, reflecting the sharp surge in money incomes, the budget deficit on a national income basis was only slightly reduced during the first half of 1968. Even that small decline in the first half is attributable to the upward revision of corporate tax accruals because of the retroactivity of the corporate tax increase to January 1st, 1968.

Diagram 4 illustrates the demand impact of the budget. It also provides estimates of the impact of the delay in the enactment of the surcharge, and the unexpected increases in Federal outlays during the period.

The quarterly course of actual and estimated potential GNP (1958 prices) is indicated on each panel of the diagram. In the left panel, the line labelled Hypothetical Fiscal Policy A traces the hypothetical course of GNP had outlays and tax rates remained at fourth quarter 1967 levels. The difference between the two provides a rough measure of the extent to which fiscal policy has been stimulative this year.

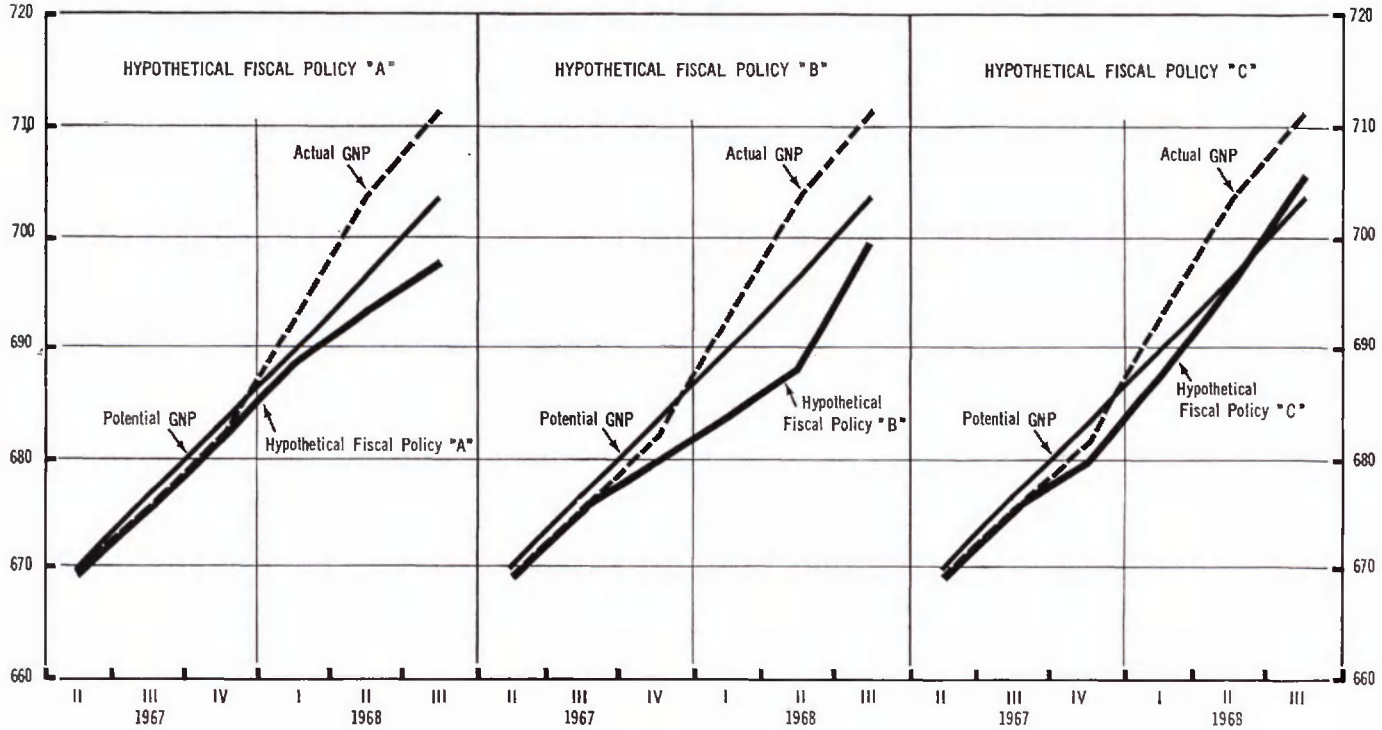
Table 5 **Federal Finance**

	National Accounts Basis								Receipt-Expenditure Account New Unified Budget Fiscal Years		
	Calendar Years			Half Years[1]			Fiscal Years				
	1965	1966	1967	1967 I	1967 II	1968 I	1967	1968	1967	1968	1969 (est.)
Receipts	124.7	143.0	151.2	148.2	154.3	169.2	147.8	161.8	149.6	153.5	179.4
Expenditures	123.5	142.4	163.6	160.4	166.8	178.5	154.3	172.7	158.4	178.9	184.4
Purchases of goods and services	66.9	77.4	90.6	88.7	92.4	98.6	84.9	95.5	—	—	—
Defence	50.1	60.6	72.4	71.0	73.8	77.9	67.7	75.8	—	—	—
Non-defence	16.8	16.8	18.2	17.6	18.7	20.6	17.2	19.6	—	—	—
Other (transfers, interest, etc.)	56.6	65.0	73.0	71.7	74.4	80.0	69.4	77.2	—	—	—
Surplus or Deficit (—)	1.2	0.7	—12.4	—12.2	—12.6	—9.4	—6.7	—11.0	—8.8	—25.4	—5.0

1 All figures at seasonally adjusted annual rates.

Source : Economic Indicators. Fiscal Year 1969 estimate is from the summer budget review.

Diagram 4 **Actual and Hypothetical Quarterly GNP under Alternative Fiscal Assumptions**
($ billions at 1958 prices; seasonally adjusted annual rates)



Source : Survey of Current Business and Secretariat estimates.

In the middle panel "Hypothetical Fiscal Policy B" assumes the 10 per cent surcharge effective 1st October 1967, and Federal expenditure in the first two quarters of 1968 not exceeding the estimates proposed in the budget in January.

The difference between this line and the actual movement of GNP therefore provides a measure of the consequences for demand of the delay in the adoption of the surcharge and the stronger-than-planned increase in Federal expenditures. In the right panel Hypothetical Fiscal Policy C assumes the early enactment of the 10 per cent tax surcharge but differs from the foregoing in assuming actual Federal spending throughout. The difference between this line and actual GNP is an estimate of the consequence of the delay in the enactment of the surcharge only.

These calculations[1] are not intended to be precise, but it is believed that they indicate the general order of magnitude of the effects of the various fiscal hypotheses. It should be noted, however, that under any of these hypotheses, monetary policy would probably have been less restrictive than in the actual event; this would have resulted in some partially offsetting increase in sectors sensitive to credit conditions, especially residential construction.

The results of the calculations may be summarized as follows:

(*i*) Assuming that tax rates and expenditures had been constant at their fourth quarter 1967 levels, growth between the fourth quarter of 1967 and the third quarter of 1968 might have been roughly half what actually occurred.

(*ii*) Assuming the early enactment of the surcharge together with January expenditure estimates, growth in the first half would have been greatly reduced, probably to well below the capacity rate of growth. This would have left ample scope for a more expansionary moneraty policy in that period, and the impact of increases in residential construction would probably have taken up much of the increase in slack.

(*iii*) Early enactment of the 10 per cent tax surcharge, combined with actual expenditure levels, would have provided less restraint as the advance in GNP might have slightly exceeded the growth in

1 Multiplier relationships which are used in the calculations have been derived from relationships used to forecast US GNP in the OECD. They are of a magnitude not very different from the usual size of such multiplier effects derived from more sophisticated econometric models. The multiplier effects include the impact on GNP through relationships determining consumption expenditures, inventory investment, and imports. They do not take into account possible effects on other categories of expenditure such as fixed investment. The calculations are restricted to Federal spending on goods and services and fiscal actions directly affecting household incomes. No attempt is made to estimate the impact of changes in corporate tax rates, grants to state and local authorities, or outlays under Federal lending programmes.

potential. Nevertheless, pressures on capacity would have increased only slightly. Actual GNP would not have exceeded potential until the third quarter — and then only by a small margin.

Needless to say, both the price/cost performance and the balance of payments would have been much better had fiscal restraint been applied earlier.

The Current Fiscal Programme

Current estimates of Federal receipts and expenditures are also given in Table 6. They show a decline in the deficit on the receipt-expenditure account (excluding the loan account)[1] from $19 ½ billion in Fiscal Year 1968 to about $5 billion in Fiscal Year 1969, resulting from the 10 per cent income tax surcharge, with the effect on the expenditure ceiling imposed by Congress in June.[2] It is clear that this represents a very large swing towards restraint, especially since it refers to a period during which growth should be less than 4 per cent.

The impact of the expenditure ceiling has been largely offset by increases in exempted categories of expenditure, leaving the projected level not far from the January estimate. In addition, $1.2 billion of the required $6.0 billion reduction is being accomplished at the expense of net lending. These factors are summarized in the following table:

Table 6 **Relationship of Current Budget Estimates[1] to Original January Budget Estimates**

	Total Federal Outlays (including lending)—original estimate		186.1
Less :	Net lending—original estimate		3.3
Equals :	Federal current expenditures—original estimate		182.8
Plus :	Increases in programmes exempt from Congressional budget ceiling:		
	Vietnam operations	2.3	
	Interest	0.9	
	Social Security and Veterans Benefits	1.1	
	Tennessee Valley Authority	[2]	
			4.4
Less :	Net reduction in other expenditures (excluding net lending)		—4.8
	Current estimate of expenditure (excluding net lending)		182.3
Plus :	Net lending—current estimate (after $1.2 billion reduction from original estimate)		2.1
Equals :	Total Federal Outlays—current estimate		184.4

1 Summer budget review.
2 Less than $50 million.
Source : Federal Reserve Bulletin, September 1968.

1 Refers to the new unified budget currently in use which in January replaced the old administrative and consolidated cash budgets. The receipt-expenditure account is not far different from the budget on the national accounts basis, differing largely with respect to timing.

2 Subsequent estimates are for an even smaller deficit.

Very little increase in Federal outlays is expected in the next three quarters. Thus the "fiscal drag" associated with growing revenues will add to the restraint of the budget. Federal expenditures in the third quarter were running at an annual rate at nearly the same level implied by the current fiscal programme. Since transfer payments will show a normal growth through the period, this seems to imply a slightly declining level of current dollar spending on goods and services over the course of the fiscal year—a decline which would of course be more marked in volume terms. In addition to the increasing restraint on the expenditure side, there will be increasing restraint from the tax side:

(*i*) The retroactivity of the income tax surcharge will place an additional delayed burden on households. Since increased withholding began 3 ½ months after the effective date of the surcharge, final settlements in the spring will be increased.

(*ii*) An increase in social security tax rates yielding about $3 billion is scheduled to take effect at the beginning of 1969 with no accompanying increase in benefit schedules.

The impact of the budget may be measured by means of the same sort of calculations used in the previous section. Here we measure the impact of the current budget compared to one in which (i) there is no surcharge on personal incomes and (ii) spending in current dollars is at the presently estimated level *without* the $4.8 billion reduction noted in the table above[1]. No difference is assumed with respect to the $3 billion increase in social insurance contributions slated for 1st January. The estimated quarterly impact of the current programme, as compared with the alternative as stated above, is summarized in Table 7. Again, no precision is claimed for these estimates. But it is worth noting that the estimate implies that if growth beginning in the third quarter were otherwise to be at a 4 per cent annual rate, or about 3 per cent over three quarters, the impact of the fiscal programme would be to produce instead growth of about ½ per cent over the three quarters. This is not far distant from—perhaps a bit below—what a reasonable forecast produces using conventional methods.

1 Spending on goods and services is assumed to be at $99 ½ billion under the current programme, gradually declining in 1968 IV and 1969 I from the $101.2 billion registered in 1968 III. The alternative model would have expenditure on goods and services at $103 ½ billion rising gradually through the fiscal year (ending 1st July 1969). By the second quarter of 1968, the difference is about $6 ¾ billion (annual rate).

Table 7 Quarterly Estimated Impact of Current Fiscal Programme[1] on GNP

	1968		1969	
	III	IV	I	II
Impact as percentage of potential GNP	—0.3	—1.1	—2.1	—2.9

1 Excluding impact of increase in social insurance tax rate.
Source : OECD Secretariat.

Domestic Prospects to Mid-1969

The discussion of prospects for 1969 is divided into two periods: the first half, in which the fiscal policy assumptions seem fairly clear, and the second half, about which alternative policy assumptions could be made.

In the first half of 1969 increased fiscal restraint should have a strong impact, reducing the growth of final sales. The domestic sectors expected to provide most of the forward motive force are state and local expenditures which should expand at roughly the trend rate of recent years, and residential construction. The resilience shown by housing in 1968 was partly explicable by less unfavourable financial developments than many had feared, but it also reflected the underlying strength of demand. Residential construction has for some time been below the level implied by demographic trends, and vacancy rates are lower than they have been since the mid-1950's. Homebuilding should therefore expand fairly strongly in the first half of 1969, facilitated by the probable gradual easing in moneraty conditions.

Early private surveys of business fixed investment plans have indicated a moderate amount of strength in 1969. The most recent SEC/Commerce estimates, extending to mid-1969, indicate a sharp increase in business plant and equipment expenditures in the first quarter, but then some decline in the second. But capacity utilisation in manufacturing industries was running at below 85 per cent in the third quarter of 1968, well below previous peaks, and will probably decline in the first half of 1969. Corporate cash flows are also likely to decline in the first half. Periods of deceleration in the growth of activity usually result in pronounced downward revisions in capital spending plans, so the available evidence suggests that the increase in business fixed investment in 1969 may be somewhat less than implied by these surveys.

Prospects for consumption spending are based on several assumptions. First, the growth in personal income is expected to slow down in the first half of 1969, but less sharply than current dollar GNP, largely because retained corporate profits usually bear a disproportionate share of an economic deceleration. Increased tax burdens will probably reduce the growth of

personal disposable income to a rate below 4 per cent. The personal saving rate usually reflects, in part, a lagged adjustment between changes in disposable income and consumption outlays, implying declines in periods of slowing income growth, and increases when income growth accelerates. This is the pattern expected for 1969. But the personal saving rate can be rather volatile in the short run as recent experience testifies, a good deal depending, in the United States, on the amount of enthusiasm for new car purchases. If consumer attitudes towards car buying in 1969 turn out to be buoyant, consumption might provide more strength to the first half than now expected.

Prospects for inventory investment are an uncertain element in any forecast. If businessmen correctly anticipate changes in the rate of growth of final sales and succeed in adjusting inventories quickly to changes, the level of inventory accumulation will tend to vary with the rate of growth of final sales. But if businessmen are surprised by movements in final sales, unplanned inventory accumulation or decumulation can lead to unexpected swings in inventory behaviour, as occurred in the first two quarters of 1968. Given the expectation of a slower expansion in the months ahead, it appears likely that a moderate fall in inventory accumulation will accentuate the slowdown of final demand in the first half of 1969. The amount of the decline will depend, as well, on the degree to which businessmen anticipate a speed-up in the second half.

The advance in real GNP in the first two quarters of 1969, therefore, should be quite well below the growth rate in potential, with an easing of demand pressures and a rise in unemployment, perhaps to above 4 per cent by mid-year.

The easing of demand pressures should bring about an improvement in the price performance, given that GNP is expected to drop below potential in the course of the first half. But past experience warns against expecting too quick an improvement. While some demand-sensitive prices may respond fairly promptly to moderately lower demand pressures, wage costs may continue to rise for some time and maintain the pressure on prices from the cost side. This seemed to have been true in 1956 when, following a period of strong demand pressures, the volume of GNP grew by only 1 per cent within the year. Industrial wholesale prices levelled off for a time, but costs continued to rise, and industrial prices soon renewed their climb. Indeed price, stability was not even restored immediately by the recession of 1957-58. More recent experience suggests that a slowing of the rate of expansion would be fairly promptly reflected in improved price performance, but that some inflationary pressures would persist. Over the first two quarters of 1967 the annual rate of expansion was less than 1 per cent. Industrial wholesale prices reacted quickly, remaining flat over the first six months. Both the GNP deflator and the consumer price index

slowed down distinctly to an annual rate of increase under 2 ½ per cent in the first half. But the faster rise in wages that had begun in 1966 continued throughout 1967, and sellers took advantage of the pickup in the second half to pass on increased costs through higher prices. As a result of the second half acceleration the rate of increase in most of the comprehensive price indices showed only modest improvement for 1967 as a whole compared to 1966.

Several elements tend to indicate that the relative improvement in 1969 might be somewhat sharper than in 1967. The slowdown is likely to carry the economy to somewhat lower levels relative to its potential than in 1967. The outlook for food supplies indicates an improving situation for food prices. Mortgage costs, which contributed to the upsurge in the consumer price index in the early summer, should not climb further. Wages in the service sector have been rising especially rapidly to catch up with other sectors, and will probably not continue to advance so fast for that reason. Recent labour contracts have often been "front-loaded", providing more additional benefits in the current year than in subsequent years. The calendar of major collective bargaining negotiations will be less heavy than in 1968 and higher unemployment, lower profits, and a slower price rise should have some moderating influence on the size of the new settlements. Nevertheless, although a slowdown of the rise in costs and prices is likely in the first half of 1969, past experience suggests that the cooling-off period is unlikely to have lasted long enough for a satisfactory price performance to be achieved by the middle of 1969.

Beyond Mid-1969

Prospects for the second half of 1969 are more uncertain, depending as they do upon fiscal and monetary decisions yet to be made. It will be important to insure that an appropriate degree of fiscal stimulus or restraint continues to be applied in the second half of the year. On the national accounts basis, current indications point to a very substantial surplus by mid-year under conditions of continued high employment in the first half of 1969. It remains to be seen how the economy will react to that degree of fiscal restraint. Expenditure trends beyond mid-1969, both in the defence and non-defence areas, are still necessarily far from fixed. Therefore, a decision as to whether to allow the tax surcharge to lapse, as presently scheduled, on 1st July, or to renew it must be viewed in the context of the expenditure decisions. If expenditures are to resume a normal rate of increase in fiscal year 1970, then fiscal policy would become strongly stimulative with expiration of the surcharge. This would likely produce an excessive acceleration in growth, leading to a very unfavourable environment for further progress towards price stability and expansion of the surplus on current external

transactions. Should the surcharge be maintained, there might still be some shift during the second half away from the heavy degree of restraint expected by the second quarter. The extra burden of retroactivity in personal tax payments would end, and there is the prospect of a substantial federal pay increase at mid-year. The appropriateness of the result would depend on the outlook for remaining federal expenditures and prospects for the growth in private demand.

As noted earlier, it may take some time for a better cost/price performance to be firmly established. A return to a very rapid rate of growth in the second half of 1969 might jeopardize further improvement in both the cost/price trend and the balance of payments. Therefore it will be important to use fiscal and monetary policy tools to ensure that the expected step-up in growth in the second half of 1969 is moderate.

II THE BALANCE OF PAYMENTS

In view of the large widening of the balance of payments deficit in the second half of 1967 (Table 9), the Administration on 1st January took stronger action to improve the external account. The measures were designed to bring about a $3 billion improvement in the balance of payments in 1968, of which $1.9 billion would be a result of curtailed capital outflows. Mandatory controls on direct investment replaced the previous voluntary programme. Outflows to finance direct investment in Continental Western Europe were almost completely curtailed, except in exceptional cases, while earnings may be reinvested only up to 35 per cent of average direct investment made in these countries in 1964-66. For several other countries, including the United Kingdom and Japan, outflows were to be sharply reduced, and direct investment in less developed countries is to be held to 110 per cent of the 1965-66 average. The Federal Reserve Board of Governors issued new guidelines for financial institutions designed to produce a $500 million inflow of bank credits, compared with last year's $400 million outflow. Additional measures were announced to reduce the balance of payments costs of government programmes by $500 million. Measures were also proposed to deal with the net deficit on travel expenditures, but the major proposal, a tax on tourist expenditures abroad, was not enacted by Congress. A longer-term programme to stimulate exports with improved financing facilities and promotion was also included.

Table 8 **Balance of Payments — Current Account**
$ million

	1962	1963	1964	1965	1966	1967	1967[1] Q1	Q2	Q3	Q4	1968[1] Q1	Q2
Merchandise exports [2]	20 606	22 071	25 297	26 244	29 176	30 468	7 661	7 703	7 626	7 478	7 924	8 302
Merchandise imports [2]	—16 219	—17 014	—18 648	—21 516	—25 541	—26 991	—6 686	—6 605	—6 541	—7 159	—7 867	—8 322
Trade balance	4 387	5 057	6 649	4 728	3 635	3 477	975	1 098	1 085	319	57	—20
Transfers under military sales contracts	656	657	747	830	829	1 240	335	336	245	323	306	362
Military expenditures	—3 105	—2 961	—2 876	—2 945	—3 735	—4 340	—1 072	—1 065	—1 098	—1 104	—1 110	—1 143
Transportation, net	—163	—201	—138	—266	—315	—281	—97	—75	—40	—69	—96	—74
Travel, net	—982	—1 099	—1 004	—1 058	—1 067	—1 549	—283	—457	—508	—301	—331	—348
Income on investments, net	3 309	3 324	3 930	4 164	4 178	4 566	1 034	996	1 252	1 284	1 082	1 221
Other services, net	881	1 033	1 100	1 447	1 555	1 654	401	436	423	396	418	465
Balance on services	596	753	1 759	2 172	1 445	1 290	318	171	274	529	269	483
Unilateral transfers, net	—2 697	—2 808	—2 784	—2 835	—2 925	—3 076	—730	—859	—845	—641	—642	—712
Current account balance [3]	2 288	3 004	5 625	4 066	2 155	1 692	563	410	514	207	—316	—249

1 Seasonally adjusted quarterly rates.
2 Excluding military.
3 Balance on goods, services and unilateral transfers.
Source : Survey of Current Business.

Table 9 **Balance of Payments — Capital Account and Overall Balances**

$ million

	1962	1963	1964	1965	1966	1967	1967[1] Q1	Q2	Q3	Q4	1968[1] Q1	Q2[2]
Transactions in US private assets, net	—3 426	—4 459	—6 578	—3 794	—4 298	—5 504	—975	—1 104	—1 788	—1 638	—646	—1 230
– direct investment	—1 654	—1 976	—2 328	—3 468	—3 623	—3 020	—653	—651	—902	—815	—374	—1 034
– new issues	—1 076	—1 250	—1 063	—1 206	—1 210	—1 619	—349	—368	—540	— 362	—372	—314
– claims reported by US banks	—450	—1 536	—2 465	93	253	—459	79	—198	—435	95	364	204
– claims reported by non-bank sector	—354	158	—1 108	340	—446	—759	—142	—56	25	—586	—251	—319
– other	107	145	386	447	729	353	90	169	—64	30	—13	233
Transactions in foreign assets in the US, net (excl. liquid assets)	1 026	690	689	270	2 531	3 185	865	1 202	766	353	1 365	2 171
US Govt. assets, excl. official reserve assets, net	—1 094	—1 661	—1 676	—1 562	—1 534	—2 411	—708	—572	—501	—630	—788	—669
Errors and omissions, net	—997	—244	—860	—315	—210	—532	—250	—458	207	—34	—305	—222
Balance on liquidity basis	—2 204	—2 670	—2 800	—1 335	—1 357	— 3571	—505	—522	—802	—1 742	—680	—160
financed by:												
– change in US official reserve assets, net	1 533	377	171	1 222	568	52	1 027	—419	—375	—181	904	—137
– change in liquid liabilities to foreigners	671	2 293	2 629	113	789	3 519	—522	941	1 177	1 923	—244	307
Balance on official reserve transactions	—2 702	—2 011	—1 564	—1 289	266	—3 405	—1 764	—806	247	—1 082	—532	1 523

1 Seasonally adjusted quarterly rates.
2 Data for the second quarter do not add to the liquidity balance since revised data are not yet available for all items.

Source : Survey of Current Business.

Partly as a result of this programme, the deficit on the official US liquidity basis was sharply cut in the first half of 1968[1] and moved into a small surplus in the third quarter. At the same time, there was a substantial surplus on the official reserve transactions basis, $1.4 billion through the first three quarters, as a result of short-term private capital inflows caused by US monetary stringency and foreign monetary disturbances. Gold losses were $1.4 billion, virtually all occurring before support for the private gold market was withdrawn in March.

The rapid deterioration of the current account balance continued in the first half of 1968 when it showed a deficit at an annual rate of $1 billion compared with a surplus at a $1.4 billion rate in the previous half-year. Nearly all the deterioration was in merchandise trade; other current account items, on balance, changed little. Merchandise imports rose steeply, and in the second quarter were 25 per cent higher than a year earlier. Over the same period merchandise exports rose a little less than 8 per cent, not far different from the average growth rate in recent years, despite a poor performance by agricultural exports.

A large decline in net long-term capital outflows more than offset the first half's current account deterioration. From a $5.6 billion annual rate in the second half of 1967, net outflows were reduced to an annual rate below $1.7 billion. Among the most important elements in this decline were:

(*i*) A net inflow on US long-term bank lending overseas was at $500 million annual rate, compared with an outflow at about a $100 million rate in the second half of 1967. This swing was the result of the reduced Federal Reserve ceiling and domestic financial stringency;

(*ii*) The rate of direct investment abroad slackened to an annual rate of $2.8 billion from the larger-than-usual $3.4 billion in the second half of 1967. At the same time US corporate security issues overseas to finance these direct investments rose from a $0.5 billion annual rate in the second half to a rate of nearly $2.2 billion. The bulk of these funds was temporarily invested in overseas short-term assets so as to be available for future financing of investments;

1 On the OECD balance on non-monetary transactions, the deficit in the first half of 1968 was of $2.3 billion, only slightly better than the previous half-year. The difference between the slight change in this balance, and the much more favourable movement in the US liquidity measure, is largely accounted for by favourable swings in "special" transactions of roughly $1.1 billion, and in short-term US bank lending of $0.6 billion, neither of which affects the OECD balance on non-monetary transactions. (The "special transactions" included the ending of the British liquidation of US corporate securities, an increase in the rate of foreign official investments in US time deposits or certificates of deposits of more than one year original maturity, and an increase in foreign official purchases of non-marketable medium-term US Government securities.)

(*iii*) There was a remarkable rise in foreign purchases of US equity securities in the first half. These amounted to $285 million in the first quarter and $530 million in the second quarter (actual amounts) compared with a quarterly average of about $200 million in 1967.

The current account stopped deteriorating after the first quarter, and began to improve from mid-1968 onwards. Imports grew much more slowly, reflecting primarily the decline in copper and steel imports (which had been unusually high in the first half due to actual and expected strikes) but also the slower growth of demand late in the year. In the third quarter exports showed a sharp increase, and a trade surplus at a $1.1 billion annual rate was registered. However, the second half may not have repeated the first half's favourable performance on capital account. Monetary conditions have eased, and the Federal Reserve ceilings have exerted less pressure for the liquidation of bank claims; also, foreign investment in US equities may not have been sustained at the extraordinary rate of the first six months. The improvement of the current balance may, therefore, at least partly have been offset by some rise in the net capital outflow.

The Deterioration of the US Trade Surplus

The most dramatic feature of recent US balance of payments developments has been the decline in the US trade surplus, which has been particularly rapid in 1968 (Table 10). It seems appropriate, then, to examine the causes of this deterioration, since it may shed some light on prospects for future improvement.

Table 10 **US Trade Surplus — Balance of Payments Basis**
Billions of US dollars

1964	1965	1966	1967	1968 1st half [1]
6.65	4.73	3.64	3.48	0.19

1 Seasonally adjusted annual rate.
Source : Survey of Current Business.

The Recent Surge in Imports

The most important factor in the deterioration of the US trade balance has been the rapid advance in merchandise imports; the advance has accelerated over the past several years (with the exception of 1967), but the increase in the first half of 1968—18 per cent actual rate over the previous

half-year—was truly extraordinary. First half imports, of course, were stimulated by special temporary factors. These included a strike in the copper industry, and a threatened strike in the steel industry, which together may have accounted for $500 million of extra imports. Excluding this, however, the increase was still 14 per cent. The rate of acceleration became very rapid in the last two months of 1967, even while demand pressures were still relatively low. The advance was broadly spread across various commodity groupings, but increases in industrial materials (other than the special imports mentioned above), foreign-type automobiles from Europe and Japan, and other consumer goods were particularly notable.

The understanding of import behaviour may be facilitated by the comparison of broad commodity groupings with relevant domestic production or demand variables in Diagram 5. This diagram compares the movement of actual imports (solid line) with that of estimated imports (dotted line), the latter calculated on the basis of the relationship between imports and the related domestic variable prevailing in the 1960-64 period. This has been done for five groups of imports:

(*i*) Industrial supplies and materials[1], excluding estimated extraordinary copper and steel imports; the dotted line in this case represents the estimated relationship between imports on the one hand, and domestic final sales of goods and structures and non-farm inventory investment (both in constant dollars) on the other.[2]

(*ii*) Non-automotive capital goods; the related domestic variable is domestic purchases of producers' durables, excluding automobiles (current prices).

(*iii*) Food, feeds and beverages; the related domestic variable is consumption of food products (current prices).

(*iv*) Motor vehicles and parts, both total and excluding imports from Canada. The related domestic variable is total domestic purchases of automotive products (current prices).

(*v*) Non-food consumer goods, excluding automotive products; the domestic related variable is consumption of non-food goods, excluding automobiles (current prices).

At the bottom of the diagram, the gap between actual and potential GNP is shown as an indicator of the pressure of demand.

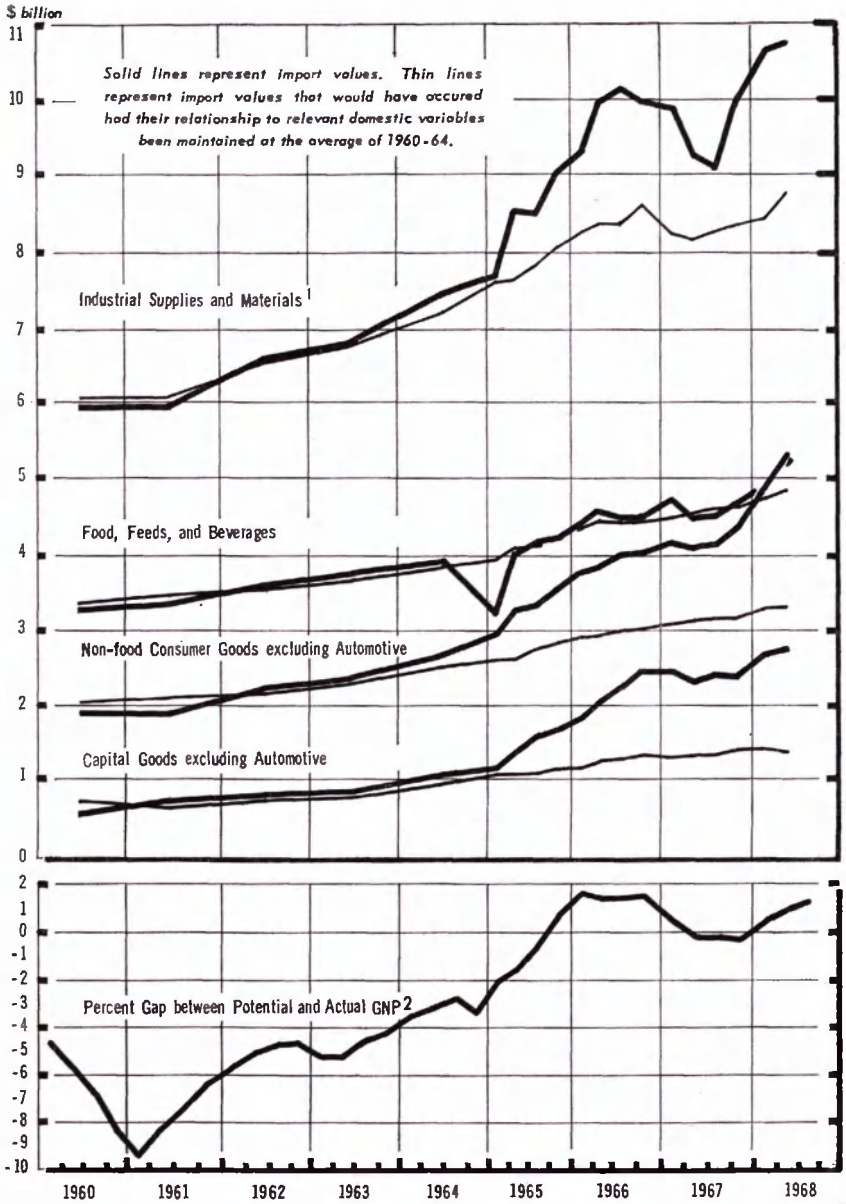
This analysis suggests the following broad conclusions:

(*i*) Imports of industrial supplies and materials have been quite sensitive to domestic demand pressures, as indicated by the widening

1 Excluding fuels and lubricants.

2 Non-farm inventory investment is given twice the weight of domestic final sales of goods and structures, a relationship suggested by regression analysis.

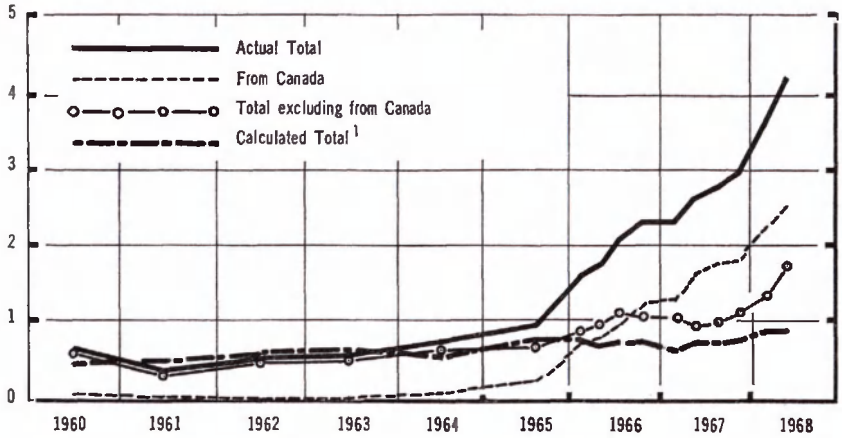
Diagram 5a **Selected Categories of US Merchandise Imports and Related Items**
Annual 1960-64; Quarterly 1965-68 seasonally adjusted annual rates in $ billions



1 Excluding fuels and lubricants and extraordinary copper and steel imports.
2 (—) indicates an excess of potential over actual.
Source : Survey of Current Business and Secretariat estimates.

Diagram 5b **US Automotive Imports**

Annual 1960-65; Quarterly 1966-68 seasonally adjusted annual rates in $ billions



1 Represents import values that would have occurred had their relationship to domestic purchases been maintained at the average of 1960—64.

Source : Survey of Current Business and Secretariat estimates.

and narrowing gap between actual imports and the level suggested by related domestic variable. Demand pressures may have produced domestic supply bottlenecks for some of these products, while the increase in the volume of imports may also have resulted in price increases—particularly for crude materials. In any case, the relief of demand pressures in early 1967 seems to have produced a considerable relief from the high import levels of 1966. This process might have continued had demand pressures been further reduced. In the event, there was a very sharp increase beginning in late 1967, somewhat anticipating the renewal of high demand pressure in early 1968.

(*ii*) Imports of non-automotive capital goods appear to have risen considerably above the level suggested by the related domestic variable in 1965 and 1966. In these years pressures on the capacity of US capital goods producers became quite heavy. Longer domestic delivery times probably deflected many orders to foreign producers. Subsequent relief from these pressures on capacity, however, produced only a slight tendency for capital goods imports to return to prior normal relationships to domestic purchases. In part, this may have reflected the delayed effect of orders placed during the previous period. However, it also seems likely that foreign producers have tended to retain customers

gained during 1965-66. There was a further strong increase in capital goods imports in the first half of 1968.

(*iii*) Imports of food seem to have a fairly stable relationship to the domestic indicator, although the increase in the second quarter of 1968 was particularly sharp.

(*iv*) The extremely rapid increase in imports of automotive equipment is largely attributable to imports from Canada under the agreement of 1965. But there also seems to have recently been a shift in tastes towards foreign-type automobiles reminiscent of the late 1950s. In that instance, the challenge of import competition led to a domestic response which substantially reduced the foreign share of the US market. There are indications that a similar domestic response may be forthcoming before too long.

(*v*) Foreign suppliers have also been rapidly increasing their share of the remaining consumer market. Such a tendency had appeared in the early 1960's, but it greatly accelerated in the rapid expansion of 1965-66. Demand pressures may have played a role. But the very limited reversal of this trend in the second and third quarters of 1967 indicates that more long-lasting factors may have been more important. Rising prices of domestic consumer goods have undoubtedly been a factor. There also have been many cases of aggressive foreign promotion of relatively new products, a task made easier by the rapid increase in consumer incomes.

In summary, the diagram suggests that easing demand pressures may produce a decline in merchandise imports in the first half of 1969, just as in 1967. Industrial supplies and materials, with a large weight in the total, may be expected to contribute most on this score. But it also seems probable that a good deal of the recent increases in imports relative to domestic activity may be rather difficult to reverse, particularly if the cooling-off period should prove to be short-lived.

Export Performance

In terms of recent rates of growth (Table 11) US export performance might be said to have been satisfactory. A fuller appraisal of export performance, however, must take at least some account of developments in world markets. The following sections are based on a comparison of US exports to total OECD exports to various geographical areas for selected commodity groupings over the years 1962-67. (1967 is the last period for which data on commodities and main geographical areas are available.) The full results are summarized in Appendix Table 1. Some of the conclusions are briefly summarized in the discussion below, and in Diagram 6.

Table 11 **Annual Percentage Rates of Growth for US Merchandise Exports[1]**

5 year average 1962-1967	1963	1964	1965	1966	1967	1968 I[2]
8.6	6.9	14.4	5.7	10.1	6.1	15.4

1 Excluding military.
2 Per cent increase over previous half-year at seasonally adjusted annual rate.
Source : Survey of Current Business.

US exports to world markets increased rather more slowly than total exports by OECD (excluding exports to the US) between 1962-67. However, after excluding intra-EEC and intra-EFTA trade (which benefited from trade creation as a result of the respective treaties), OECD exports rose only slightly more rapidly than US exports, and the decline in the US market share was small.

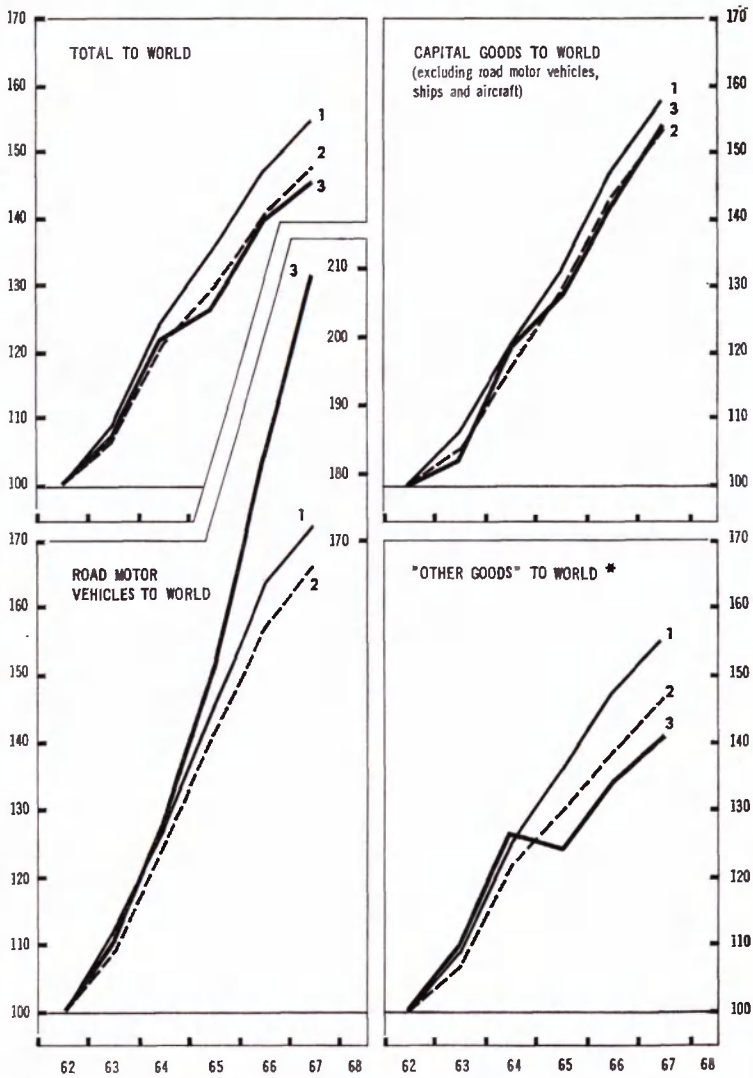
The following paragraphs concentrate on three categories of goods which together accounted for 74 per cent of total US exports in 1967 and are not thought to be influenced much by incidental demand conditions such as bad harvests, etc. The three catagories are capital goods (excluding road motor vehicles and ships and aircraft), road motor vehicles, and other goods comprising non-agricultural crude materials, mineral fuels, chemicals and other manufactures (excluded are food, beverages, tobacco, "irregular" exports such as aircraft and ships and boats and commodities which are not classified according to kind). Distinction is made between four main geographical areas—EEC, EFTA, Canada and non-OECD countries.

US exports of capital goods to world markets rose substantially in the period under review but somewhat less than total OECD exports (excluding exports to the United States) and the US share declined somewhat between 1962 and 1967. This decline was entirely attributable, however, to the sharp rise in intra-EEC and intra-EFTA trade. The US performance was remarkably good to EEC and EFTA; after allowance is made for the respective intra-trade the US increased its share in total OECD exports to both EEC and EFTA substantially between 1962 and 1967.

In non-OECD countries the US performance was less good; between 1962-67 the US share declined from 29 ½ per cent to 27.9 per cent. At the same time Japan and the EEC substantially increased their shares in non-OECD countries while the share of EFTA declined significantly in the same period.

Exports of road motor vehicles by the US were decisively influenced by the US-Canada trade agreement on automobiles and parts. As a result the US increased its share quite sharply in total OECD exports; however, after

Diagram 6a **Exports of Merchandise**
US export performance for selected commodity groups and areas
1962 = 100

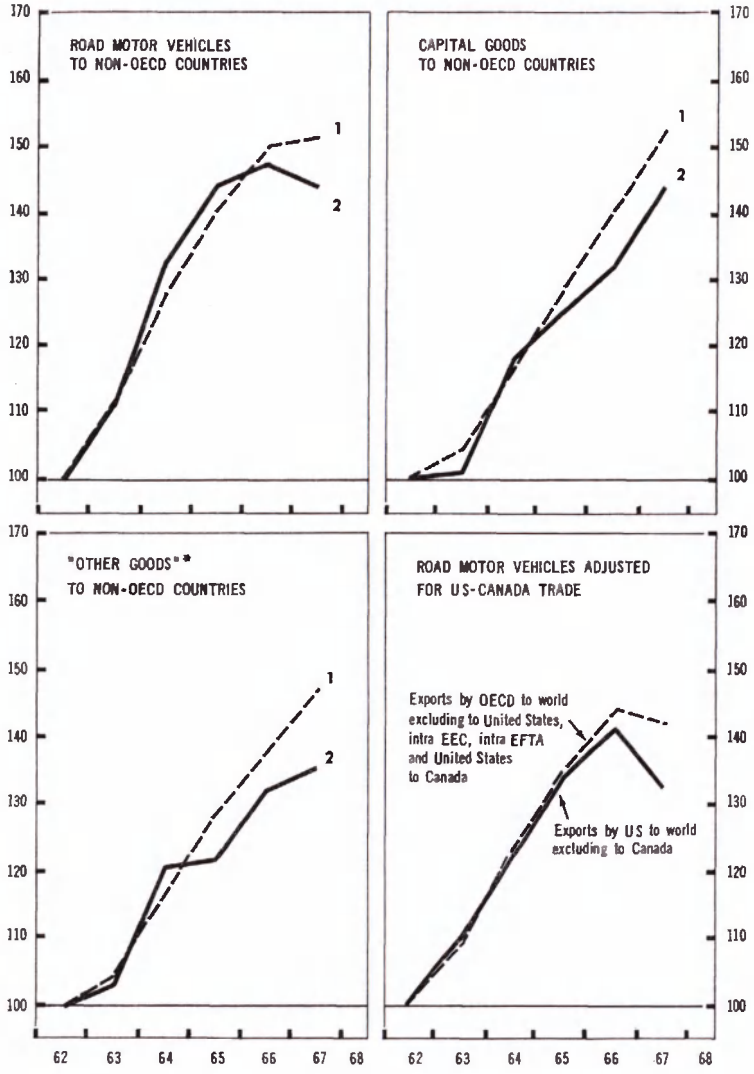


1 Exports by OECD excluding exports to United States.
2 Exports by OECD excluding exports to United States, intra EEC and intra EFTA trade.
3 Exports by United States.

* The category "Other Goods" comprises non-agricultural crude materials, mineral fuels, chemicals and other manufactures excluding food, beverages, tobacco, aircraft, ships and boats and commodities not classified according to kind.

Source : OECD Secretariat.

Diagram 6b **Exports of Merchandise**
US export performance for selected commodity groups and areas
1962 = 100



1 OECD exports to non-OECD countries.
2 United States exports to non-OECD countries.

* The category "Other Goods" comprises non-agricultural crude materials, mineral fuels, chemicals and other manufactures excluding food, beverages, tobacco, aircraft, ships and boats and commodities not classified according to kind.

Source : OECD Secretariat.

adjustment is made for US exports to Canada the US share showed a decline. The US performance was again less favourable in non-OECD countries; Japan augmented its share sharply over the same period. The group "other goods" shows similar developments as in capital goods. The US performance in OECD areas was good, but its share in exports to non-OECD countries declined.

This analysis, of course, does not take into account shifts in commodity composition within these groups, or in geographical differences within these areas. The latter might have been particularly important with respect to US performance in the non-OECD market, since non-OECD areas differ greatly with respect to their geographical patterns of trade. There are also certain important commodities—largely food products—where the US competitive position is quite strong, but where exports are limited by a variety of quotas, marketing agreements and other trade restraints. US exports of aircraft are not included due to their irregular nature, but have accounted for a good deal of recent export strength.

The most striking feature of US export performance as revealed by this analysis is the difference between rather good performance as regards certain important commodity groups within OECD areas, and the loss of market shares in non-OECD areas. This difference requires further analysis. It is further noteworthy that internal demand pressures do not seem to have damaged export performance much, with the exception of capital goods exports where there were exceptionally heavy pressures on capacity in 1965-66. Neither does this rather crude analysis provide evidence that the recent worsening of US cost/price developments has damaged export performance.

Balance of Payments Prospects

As suggested above, the expected reduction in domestic growth may lead to a first half 1969 decline in imports similar to the decline in 1967. In the second half imports will undoubtedly turn up, although something will depend on the strength of the acceleration in demand. Continued good, but unspectacular, export performance may be expected in 1969, reflecting favourable growth in markets and the maintenance of US market shares, when the more rapid rise of intra-EEC and intra-EFTA trade is excluded. Thus the trade balance should show substantial improvement in 1969. It is obviously of critical importance from this point of view to avoid an early renewal of excess demand pressures which would probably reduce the trade surplus once more.

Current invisibles should also show a net improvement over this year. The largest gain should come from the expected expansion in investment

income receipts. Military expenditure abroad may not increase very substantially, and other items are not likely to show large changes. The current account, then, should show substantial improvement in the first half of 1969.

The US liquidity balance (as well as the OECD balance on non-monetary transactions) should improve next year along with the balance on current transactions, although some of the current account improvement might be offset by less favourable capital account transactions. Just as in this year's second half, the impact that the US capital restraint programme had in the first half of 1968 probably will not be reproduced; however, the programme should serve to insure against any sharp increase in outflows of US capital. Banks will again be under less pressure from the Federal Reserve ceilings. US direct investments might remain at about the 1968 level; a recent survey shows a continued deceleration in the expansion of foreign affiliates of US corporations. Overseas borrowing to finance these investments might decline somewhat from the high 1968 level, but overseas funds accumulated from this year's borrowings will undoubtedly be drawn upon. There should not be substantial changes in net outflows on foreign securities or US government capital outflows. The largest uncertainty is in whether the recent high level of foreign investment in US equity securities will continue. It seems most prudent to expect that this capital inflow might recede somewhat.

On the official reserve transactions basis, the factors previously mentioned as accounting for this year's surplus are no doubt largely transitory, and there may even be a reversal of a part of these flows in a manner similar to the 1966-67 experience, if US monetary conditions ease relative to those abroad. Beyond this, prospects for this balance are very difficult to assess.

III POLICY CONCLUSIONS

The degree of fiscal restraint imposed in the June package is larger than originally proposed, but the delay in its enactment has made a larger dose of restraint necessary. It seems likely that this restraint will produce a marked slowdown in expansion up to the middle of next year. The course of the economy in the second half of 1969 depends on decisions to be taken by the next Administration.

Forecasts about the course of the United States economy next year are surrounded by at least the usual degree of uncertainty. It had been thought by some that the sizeable shift to fiscal restraint carried with it the risk of a substantial absolute decline in activity—which would be unfortunate not

only for the United States but also for the rest of the world. But this now appears unlikely. On the other hand, the likely relief from demand pressures is expected to begin producing welcome benefits to price performance and external balance. It therefore seems apparent that the proper course for fiscal policy should be to allow the first-half slowdown to proceed as now expected.

As explained earlier, present indications are that output will start expanding more rapidly again after mid-year, the strength of the expansion depending on policy decisions yet to be taken. It would seem desirable that the expansion should remain somewhat below the rate at which capacity is growing, with a further easing of demand pressures, for two reasons.

First, the pause in expansion might well have been too brief for better price/cost performance to be firmly established. The pause would have begun to have a moderating influence, but such effects take time to appear. A too-rapid expansion in the second half would risk undoing the progress likely to be made in the first half of the year. An early restoration of cost/price stability will be crucial for an improvement of US trade performance and thus of the balance of payments in the longer term.

The second reason for avoiding an over-rapid internal expansion after mid-1969 is the immediate effect this would have on the balance of payments. Slower expansion in the first half-year should bring a marked improvement in the balance on current transactions. But it seems unlikely to bring it back to a satisfactory level. And rapid expansion of activity after mid-year would be unfavourable for further improvement in the current balance in the second half-year. A more moderate rate of expansion might still leave the current balance short of what will probably be needed to restore full external equilibrium. It is of considerable importance for the strength of the dollar that improvement should continue on this front.

The analysis of this survey suggests that the aim of maintaining the expansion of aggregate demand somewhat below the rate at which capacity is growing will call for the continuation in fiscal year 1970 of the degree of fiscal restraint prevailing in the current fiscal year. Depending on the expenditure outlook, this might require the maintenance of the tax surcharge or equivalent fiscal action. In view of the inevitable uncertainties about the strength of demand, policy should remain flexible to ensure that the economy keeps to the desired path.

In the second half of 1969, it is possible that—contrary to what has been taken as a starting point for this analysis—it will become possible to make an early reduction in Vietnam war expenditure. This would provide additional fiscal flexibility which could be used to apply further restraint, if necessary, and perhaps allow some shift of resources to meet pressing social

problems; it would also provide welcome direct aid to the balance of payments through the reduction of overseas military expenditures.

Monetary conditions may ease somewhat in the first half of 1969 as the deceleration proceeds. The monetary authorities may well wish to allow for a subtantial increase in housing construction, both to insure against an absolute decline in activity, and for reasons of social policy. This may well be prudent, up to a point, as far as the first half-year is concerned; but the prospects for the second half-year need to be borne in mind. It must be remembered that monetary policy operates on domestic activity with a considerable time-lag. In view of the prospects for strong expansion in the second half-year, it would seem desirable to keep the first-half easing of monetary policy within rather narrow bounds. This would also be appropriate from the point of view of external balance.

The needs for better price stability and better external balance, though pressing, have to be balanced against the social cost of slower expansion in terms of unemployment. In the United States there are especially acute problems with respect to unemployment among minority groups and in urban centres. Unemployment among the non-white group is currently nearly double that of the remainder of the labour force; and a percentage point increase in the overall unemployment rate might lead to as much as a two percentage point increase in the non-white group. But efforts to treat unemployment through aggregate demand policy, brilliantly successful in the 1960's, have to be supplemented by other policies. Attention must continue to be shifted towards direct measures, such as those which improve the education, skills and mobility of the labour force, and further reduce discriminatory employment barriers. Such measures take time to produce results; it is all the more important that they be pressed ahead on a scale large enough to deal with the immense problem.

Recent experience makes very plain the costs that can be involved when fiscal policy decisions are delayed. The preceding analysis indicates that had the Administration been able to secure enactment of the surcharge for the autumn of 1967 the excessive demand pressures of 1968 probably would have been avoided. This suggests that serious consideration should again be given to the provision of more discretionary power for the President in respect of fiscal decisions, subject to appropriate safeguards. A report recently published by a Group of Independent Experts appointed by the OECD points out that although the President possesses some discretionary power over the timing of expenditure, no such power exists regarding tax rates. The Group recommends that authority be granted to enable temporary variations in the rates of personal income tax, subject to subsequent Congressional veto[1]. In a number of countries some such flexibility has

1 "Fiscal Policy for a Balanced Economy—Experience, problems and prospects". Reports by a Group of Independent Experts, OECD, Paris, December 1968.

already been accorded to the Executive—notably in Belgium, Italy and the United Kingdom and, to a smaller extent in Germany and France.

The balance of payments has benefited this year from a large and unprecedented inflow on private capital account. Much was certainly due to the measures affecting capital movements under the balance of payments programme. The fact that interest rates were relatively high in the United States, and relatively low in some main European financial centres, may also have been a factor. It is possible also that there have been other more enduring factors; and that the United States, whether for political or economic reasons, has now become more attractive to foreign investors as compared with other countries. Whether there has been an enduring change of this sort cannot, however, yet be seen with any certainty. In any case, despite the probable improvement on trade account, there seems little chance that the balance of payments next year will be strong enough to dispense either with present restrictions on overseas capital transactions, or with the assistance of monetary policy to the external capital account.

The scale of the underlying strengthening of the capital account is also relevant to assessing how great a further improvement needs to be made, after 1969, to the balance of payments on current account. The present restrictions on capital transactions have been justified as temporary, and only accepted as such by international opinion. In considering longer-term aims, the current account clearly needs to become strong enough to provide overall balance after the capital restrictions have been removed. But if there are enduring underlying reasons for expecting a more favourable capital account than earlier, or if interest rates can be maintained at a higher level relative to rates in foreign markets, it may not be necessary to aim at restoring current account surpluses as large as in the best years of the 1960's. It may therefore be suitable now to give further consideration to the shape of the balance of payments appropriate after the Vietnam war is over. But whatever the exact outcome of such deliberations, it seems likely that substantial improvement of the current external account will remain necessary after 1969.

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APPENDIX

Table 1a **Exports of Merchandise. Total**[1]

Percentages

	1962	1963	1964	1965	1966	1967
US share in OECD exports to world markets (excl. exports to US)	27.0	26.5	26.6	25.3	25.6	25.4
US share in OECD exports to world markets (excl. intra-EEC and intra-EFTA trade)	34.6	34.7	35.0	33.7	34.3	34.2
US share in OECD exports to non-OECD countries	28.9	28.7	29.5	27.6	27.5	27.0
Share of EEC in OECD exports to non-OECD countries	31.1	30.2	29.5	30.3	30.2	31.9
Share of EFTA in OECD exports to non-OECD countries	26.1	26.1	24.0	24.4	23.1	22.3
Share of Japan in OECD exports to non-OECD countries	9.8	10.5	11.3	14.5	13.4	14.0
US share in OECD exports to Canada	77.9	79.7	79.6	79.5	80.3	81.3
Share of EEC in OECD exports to Canada	6.4	6.1	6.4	7.0	6.5	6.3
Share of EFTA in OECD exports to Canada	12.8	11.4	10.8	10.1	9.7	8.9
Share of Japan in OECD exports to Canada	2.6	2.5	2.8	3.1	3.2	3.2
US share in OECD exports to EEC	15.2[a]	14.4[a]	14.6[a]	14.3	14.0	13.8
US share in OECD exports to EEC (excl. intra-EEC trade)	35.6[b]	34.8[b]	36.3[b]	36.4	36.7	37.4
US share in OECD exports to EFTA	12.7[c]	12.3[c]	12.9[c]	12.8	12.9	12.9
US share in OECD exports to EFTA (excl. intra-EFTA trade)	17.1[d]	16.9[d]	17.8[d]	17.8	18.2	18.4

Source : OECD Secretariat.

1 US regional export data included in this table were affected, between 1964 and 1965, by a reclassification of " special category " exports, the destination of which is kept secret. Rough estimates of the adjustments required to make the data comparable over time are given below:

(*a*) The figures for 1962-64 might be increased by 1-2 per cent.

(*b*) The figures for 1962-63 might be increased by 5-6 per cent and for 1964 by 3 per cent.

(*c*) The figures for 1962-64 might be increased by 1-2 per cent.

(*d*) The figures for 1962-63 might be increased by 2 ½ per cent, and for 1964 by 1 ½ per cent.

Table 1b **Exports of Capital Goods**
Percentages

	1962	1963	1964	1965	1966	1967
US share in OECD exports to world markets (excl. exports to US)	29.6	28.6	29.5	28.7	28.6	28.8
US share in OECD exports to world markets (excl. intra-EEC and intra-EFTA trade)	36.0	35.7	36.9	35.8	35.8	36.1
US share in OECD exports to non-OECD countries	29.5	28.5	30.0	28.6	27.8	27.9
Share of EEC in OECD exports to non-OECD countries	31.2	31.4	31.3	32.4	32.5	34.5
Share of EFTA in OECD exports to non-OECD countries	30.5	31.0	28.4	28.1	27.5	25.0
Share of Japan in OECD exports to non-OECD countries	7.4	7.3	8.2	9.3	10.5	10.8
US share in OECD exports to Canada	82.9	82.3	84.3	83.7	82.8	82.7
Share of EEC in OECD exports to Canada	3.9	3.9	4.3	4.9	5.5	5.2
Share of EFTA in OECD exports to Canada	12.3	12.9	10.3	10.1	9.9	9.9
Share of Japan in OECD exports to Canada	1.1	1.0	1.1	1.2	1.8	2.1
US share in OECD exports to EEC	17.0	16.0	15.8	16.9	16.6	17.2
US share in OECD exports to EEC (excl. intra-EEC trade)	37.6	37.6	38.4	41.4	41.2	43.3
US share in OECD exports to EFTA	15.0	15.1	17.2	17.8	17.3	18.3
US share in OECD exports to EFTA (excl. intra-EFTA trade)	20.4	20.4	23.2	23.8	23.3	24.6

Source : OECD Secretariat.

Table 1c **Exports of Road Motor Vehicles**
Percentages

	1962	1963	1964	1965	1966	1967
US share in OECD exports to world markets (excl. exports to US)	25.0	24.6	25.1	26.0	27.8	30.4
US share in OECD exports to world markets (excl. intra-EEC and intra-EFTA trade)	32.6	32.9	33.3	35.0	37.9	41.1
US share in OECD exports to world markets excl. intra-EEC, intra-EFTA and US-Canada trade	24.6	24.7	24.5	24.4	24.2	23.0
US share in OECD exports to non-OECD countries	28.1	28.1	29.1	28.9	27.6	26.8
Share of EEC in OECD exports to non-OECD countries	33.1	31.5	30.8	30.4	31.8	33.0
Share of EFTA in OECD exports to non-OECD countries	30.7	31.6	30.1	28.6	26.3	22.7
Share of Japan in OECD exports to non-OECD countries	6.3	6.8	7.5	8.4	9.7	13.0
US share in OECD exports to Canada	78.8	86.4	84.3	85.8	90.2	92.8
Share of EEC in OECD exports to Canada	8.9	7.0	6.7	6.6	4.0	3.1
Share of EFTA in OECD exports to Canada	12.2	6.5	8.4	6.1	4.7	3.4
Share of Japan in OECD exports to Canada	—	—	0.6	1.5	1.0	0.7
US share in OECD exports to EEC	5.1	5.1	4.6	5.7	4.8	4.9
US share in OECD exports to EEC (excl. intra-EEC trade)	22.8	22.2	22.5	28.9	27.7	29.1
US share in OECD exports to EFTA	5.0	5.0	5.1	7.1	6.4	5.4
US share in OECD exports to EFTA (excl. intra-EFTA trade)	6.8	6.8	6.9	9.5	8.9	7.6

Source : OECD Secretariat.

Table 1d **Exports of Other Goods**[1]

Percentages

	1962	1963	1964	1965	1966	1967
US share in OECD exports to world markets (excl. exports to US)	21.0	21.2	21.3	19.2	19.2	19.0
US share in OECD exports to world markets (excl. intra-EEC and intra-EFTA trade)	28.3	29.0	29.5	27.1	27.4	27.2
US share in OECD exports to non-OECD countries	23.2	23.1	23.9	21.9	22.2	21.4
Share of EEC in OECD exports to non-OECD countries	33.5	32.7	32.2	32.6	32.5	34.3
Share of EFTA in OECD exports to non-OECD countries	25.4	25.2	24.0	24.2	23.2	22.6
Share of Japan in OECD exports to non-OECD countries	14.2	15.0	15.9	17.1	17.8	17.5
US share in OECD exports to Canada	73.7	74.2	73.7	72.9	73.6	73.6
Share of EEC in OECD exports to Canada	8.0	8.2	8.3	9.4	9.0	9.0
Share of EFTA in OECD exports to Canada	13.5	12.9	12.5	11.7	11.2	11.0
Share of Japan in OECD exports to Canada	4.6	4.5	5.2	5.6	5.8	6.0
US share in OECD exports to EEC	12.4	12.6	12.8	11.4	11.1	10.7
US share in OECD exports to EEC (excl. intra-EEC trade)	31.4	32.1	33.5	30.6	29.8	30.9
US share in OECD exports to EFTA	9.9	10.0	10.5	10.0	9.6	9.6
US share in OECD exports to EFTA (excl. intra-EFTA trade)	13.5	13.9	14.8	14.2	14.0	14.2

1 The category " other goods " comprises non-agricultural crude materials, mineral fuels, chemicals and other manufactures (excluded are food, beverages, tobacco, " irregular " exports such as aircraft and ships and boats and commodities not classified according to kind.

Source : OECD Secretariat.

Table 1e **Exports of Food, Beverages and Tobacco**
Percentages

	1962	1963	1964	1965	1966	1967
US share in OECD exports to world markets (excl. exports to US)	37.4	37.3	37.3	35.8	37.1	34.4
US share in OECD exports to world markets (excl. intra-EEC and intra-EFTA trade)	46.2	46.4	46.2	46.1	47.6	45.7
US share in OECD exports to non-OECD countries	49.0	49.6	48.7	46.6	47.1	48.4
Share of EEC in OECD exports to non-OECD countries	22.9	21.3	18.8	21.3	18.7	19.7
Share of EFTA in OECD exports to non-OECD countries	12.9	12.0	10.7	12.6	11.2	12.1
Share of Japan in OECD exports to non-OECD countries	2.2	2.2	2.1	2.2	2.2	2.7
US share in OECD exports to Canada	84.3	87.4	86.1	84.8	82.8	80.6
Share of EEC in OECD exports to Canada	5.2	4.1	5.0	5.0	6.1	7.2
Share of EFTA in OECD exports to Canada	7.2	5.8	6.1	7.0	8.2	8.5
Share of Japan in OECD exports to Canada	1.8	1.5	1.5	1.6	1.7	2.0
US share in OECD exports to EEC	25.3	22.7	23.8	22.9	23.2	20.5
US share in OECD exports to EEC (excl. intra-EEC trade)	44.1	41.2	43.3	44.3	45.8	43.9
US share in OECD exports to EFTA	21.8	20.4	20.5	18.8	21.3	18.7
US share in OECD exports to EFTA (excl. intra-EFTA trade)	27.8	26.4	26.6	24.8	28.6	25.0

Source : OECD Secretariat.

STATISTICAL ANNEX

Table A National Product and Expenditure in Current Prices

Billions of dollars

	Personal consumption expenditure	Gross private domestic investment	New construction	Producers durable equipment	Change in business inventories	Net exports of goods and services	Govt. purchases of goods and services	Federal	State and local	Gross National Product
1952	216.7	51.9	28.6	20.2	3.1	2.2	74.7	51.8	22.9	345.5
1953	230.0	52.6	30.6	21.5	0.4	0.4	81.6	57.0	24.6	364.8
1954	236.5	51.7	32.7	20.6	—1.5	1.8	74.8	47.4	27.4	364.8
1955	254.4	67.4	37.6	23.8	6.0	2.0	74.2	44.1	30.1	398.0
1956	266.7	70.0	38.9	26.5	4.7	4.0	78.6	45.6	33.0	419.2
1957	281.4	67.9	38.1	28.4	1.3	5.7	86.1	49.5	36.6	441.1
1958	290.1	60.9	37.4	25.0	—1.5	2.2	94.2	53.6	40.6	447.3
1959	311.2	75.3	42.1	28.4	4.8	0.1	97.0	53.7	43.3	483.7
1960	325.2	74.8	41.0	30.3	3.6	4.0	99.6	53.5	46.1	503.7
1961	335.2	71.7	41.0	28.6	2.0	5.6	107.6	57.4	50.2	520.1
1962	355.1	83.0	44.6	32.5	6.0	5.1	117.1	63.4	53.7	560.3
1963	375.0	87.1	46.5	34.8	5.9	5.9	122.5	64.2	58.2	590.5
1964	401.2	94.0	48.3	39.9	5.8	8.5	128.7	65.2	63.5	632.4
1965	432.8	108.1	52.8	45.8	9.6	6.9	137.0	66.9	70.1	684.9
1966	465.5	120.8	53.3	52.8	14.7	5.1	156.2	77.4	78.8	747.6
1967	492.2	114.3	52.5	55.7	6.1	4.8	178.4	90.6	87.8	789.7
1965 [1]: 1st quarter	419.8	105.3	50.8	43.7	10.9	6.2	131.5	64.4	67.0	662.8
2nd quarter	427.9	105.3	52.1	44.4	8.9	8.1	134.4	65.5	68.9	675.7
3rd quarter	436.3	108.7	53.0	46.6	9.1	7.3	138.9	67.6	71.3	691.1
4th quarter	447.4	113.2	55.2	48.3	9.7	6.0	143.3	70.1	73.2	710.0
1966 [1]: 1st quarter	457.8	116.8	55.9	50.0	10.9	6.0	147.8	72.5	75.3	728.4
2nd quarter	461.1	121.0	53.9	51.7	15.4	5.2	153.1	75.6	77.4	740.4
3rd quarter	469.3	119.9	53.3	53.7	12.8	4.5	159.5	79.9	79.7	753.3
4th quarter	473.7	125.7	49.9	55.9	19.8	4.5	164.3	81.5	82.7	768.2
1967 [1]: 1st quarter	480.9	113.0	50.1	54.5	8.4	5.2	173.1	87.4	85.8	772.2
2nd quarter	490.3	107.6	49.9	55.5	2.3	5.1	177.3	90.0	87.2	780.2
3rd quarter	495.5	114.7	53.7	55.6	5.3	5.4	179.6	91.3	88.4	795.3
4th quarter	502.2	121.8	56.2	57.3	8.3	3.4	183.5	93.5	90.0	811.0
1968 [1]: 1st quarter	519.4	119.7	58.7	59.0	2.1	1.5	190.5	97.1	93.4	831.2
2nd quarter	527.9	127.3	58.0	58.5	10.8	2.0	195.7	100.0	95.6	852.9
3rd quarter	541.3	127.4	57.8	61.8	7.7	2.6	199.5	101.1	98.4	870.8

1 Seasonally adjusted quarterly totals at annual rates.

Source : Survey of Current Business.

Table B **National Product and Expenditure in Constant (1958) Prices**

Billions of 1958 dollars

	Personal consumption expenditure	Gross private domestic investment	New construction	Producers[1] durable equipment	Change in business investment	Net exports of goods and services	Govt. purchases of goods and services	Federal	State and local	Gross National Product
1952	239.4	60.5	32.6	24.6	3.3	3.0	92.1	63.8	28.4	395.1
1953	250.8	61.2	34.5	25.8	0.9	1.1	99.8	70.0	29.7	412.8
1954	255.7	59.4	36.9	24.5	—2.0	3.0	88.9	56.8	32.1	407.0
1955	274.2	75.4	41.3	27.7	6.4	3.2	85.2	50.7	34.4	438.0
1956	281.4	74.3	40.7	28.8	4.8	5.0	85.3	49.7	35.6	446.1
1957	288.2	68.8	38.4	29.1	1.2	6.2	89.3	51.7	37.6	452.5
1958	290.1	60.9	37.4	25.0	—1.5	2.2	94.2	53.6	40.6	447.3
1959	307.3	73.6	40.9	27.9	4.8	0.3	94.7	52.5	42.2	475.9
1960	316.1	72.4	39.3	29.6	3.5	4.3	94.9	51.4	43.5	487.7
1961	322.5	69.0	39.0	28.1	2.0	5.1	100.5	54.6	45.9	497.2
1962	338.4	79.4	41.7	31.7	6.0	4.5	107.5	60.0	47.5	529.8
1963	353.3	82.5	42.7	34.0	5.8	5.6	109.6	59.5	50.1	551.0
1964	373.7	87.8	43.3	38.7	5.8	8.3	111.2	58.1	53.2	581.1
1965	397.7	99.2	46.1	44.0	9.0	6.2	114.7	57.9	56.8	617.8
1966	417.8	108.8	45.0	49.9	13.9	4.0	126.5	65.2	61.3	657.1
1967	430.5	99.5	42.5	51.1	5.9	2.4	140.7	74.8	65.9	673.1
1965[1]: 1st quarter	387.9	96.9	44.8	42.1	10.0	5.4	111.4	56.4	55.0	601.6
2nd quarter	393.4	96.8	45.8	42.7	8.3	7.0	113.1	57.2	56.0	610.4
3rd quarter	400.3	99.6	46.2	45.0	8.6	6.7	115.9	58.5	57.4	622.5
4th quarter	409.2	103.4	47.7	46.4	9.3	5.7	118.4	59.6	58.7	636.6
1966[1]: 1st quarter	415.7	106.1	48.0	47.8	10.3	5.3	121.5	61.8	59.6	648.6
2nd quarter	414.8	109.5	45.8	48.9	14.7	4.3	124.7	64.0	60.7	653.3
3rd quarter	420.0	107.4	44.8	50.7	12.0	3.6	128.5	66.9	61.6	659.5
4th quarter	420.6	112.3	41.6	52.1	18.6	2.9	131.3	67.9	63.4	667.1
1967[1]: 1st quarter	424.8	99.8	41.4	50.3	8.0	3.0	138.1	72.7	65.4	665.7
2nd quarter	431.2	94.2	40.8	51.1	2.3	2.8	141.0	75.1	66.0	669.2
3rd quarter	431.8	99.3	43.0	51.0	5.2	3.1	141.4	75.6	65.8	675.6
4th quarter	434.1	104.7	44.8	52.0	8.0	1.0	142.0	75.6	66.4	681.8
1968[1]: 1st quarter	444.9	101.5	46.4	53.0	2.0	—0.1	146.5	78.1	68.4	692.7
2nd quarter	447.5	107.3	45.0	52.4	9.9	—0.6	149.2	80.1	69.1	703.4
3rd quarter	455.7	105.8	44.3	54.7	6.8	0.7	150.1	79.5	70.6	712.3

1 Seasonally adjusted quarterly total at annual rates.

Source: Survey of Current Business.

Table C **Monetary Indicators**
Seasonally adjusted (in billions of dollars)

	Money Supply[1]			Loans and Investments at Commercial Banks[2]			
	Total	Currency	Demand deposits	Total	Loans	Securities US Govt.	Securities Other
1959: December	141.9	28.9	113.1	185.9	107.8	57.7	20.5
1960: December	141.1	28.9	112.1	194.5	113.8	59.8	20.8
1961: December	145.4	29.6	115.9	209.6	120.4	65.3	23.9
1962: December	147.4	30.6	116.8	227.9	134.0	64.6	29.2
1963: December	153.0	32.5	120.5	246.2	149.6	61.7	35.0
1964: December	159.3	34.2	125.1	267,2	167.7	60.7	38.7
1965: December	166.8	36.3	130.5	294.4	192.6	57.1	44.8
1966: December	170.4	38.3	132.1	310.5	208.2	53.6	48.7
1967: September	179.1	39.7	139.4	339.1	219.9	61.4	57.7
October	180.2	39.9	140.2	342.0	221.4	61.9	58.6
November	181.0	40.1	141.0	344.3	222.7	61.2	60.4
December	181.3	40.4	140.9	346.5	225.4	59.7	61.4
1968: January	182.3	40.6	141.7	349.9	227.5	60.0	62.4
February	182.7	40.7	141.9	353.9	229.2	62.0	62.7
March	183.4	41.1	142.2	352.5	229.0	59.9	63.6
April	184.3	41.4	143.0	355.2	231.4	60.3	63.4
May	186.1	41.6	144.5	357.3	232.6	61.0	63.6
June	187.4	42.0	145.4	357.8	233.5	60.4	63.9
July	189.4	42.2	147.2	365.9	238.4	63.1	64.4
August	190.2	42.5	147.7	370.4	241.7	63.9	65.5
September	189.3	42.6	146.7	374.8	243.8	64.0	67.0

1 Averages of daily figures.
2 Data are for last Wednesday of month.
Source : Federal Reserve Bulletin.

Table D **Monetary Indicators**
Millions of dollars

End of period	Mutual savings banks					Savings and loan associations			
	Loans		Securities						
	Mortgages	Other	US Govt.	State and local	Corporate and others	Deposits	Mortgages	US Govt. securities	Savings capital
1959	24 769	358	6 871	721	4 845	34 977	53 141	4 477	54 583
1960	26 702	416	6 243	672	5 076	36 343	60 070	4 595	62 142
1961	28 902	475	6 160	677	5 040	38 277	68 834	5 211	70 885
1962	32 056	602	6 107	527	5 177	41 336	78 770	5 563	80 236
1963	36 007	607	5 863	440	5 074	44 606	90 944	6 445	91 308
1964	40 328	739	5 791	391	5 099	48 849	101 333	6 966	101 887
1965	44 433	862	5 485	320	5 170	52 443	110 306	7 414	110 385
1966	47 193	1 078	4 764	251	5 719	55 006	114 447	7 771	114 009
1967: August	49 322	1 210	4 367	242	7 910	58 499	118 674	8 857	120 677
September	49 557	1 152	4 406	243	8 054	59 066	119 529	9 017	121 870
October	49 827	1 169	4 299	228	8 080	59 257	120 362	9 171	122 365
November	50 046	1 243	4 397	222	8 107	59 462	121 127	9 424	122 947
December	50 311	1 203	4 319	219	9 320	60 121	121 983	9 244	124 562
1968: January	50 705	1 260	4 344	218	8 444	60 581	122 095	9 505	124 133
February	50 902	1 334	4 405	220	8 672	60 945	122 637	9 775	124 717
March	51 039	1 341	4 412	229	8 937	61 615	123 426	9 968	125 993
April	51 199	1 267	4 303	221	9 113	61 554	124 305	9 824	125 698
May	51 402	1 474	4 374	214	9 213	61 926	125 262	10 164	126 455
June	51 621	1 387	4 235	206	9 403	62 411	125 988	9 886	127 950
July	51 869	1 385	4 213	205	9 616	62 607	126 707	9 764	127 345
August	52 102	1 489	4 203	201	9 778	62 851	127 586	9 684	127 734

Source : Federal Reserve Bulletin.

Table E **Balance of Payments OECD Basis**
Millions of dollars

	1960	1961	1962	1963	1964	1965	1966	1967	1968 1st half seas. adj. ann. rates
Exports, f.o.b.	19 487	19 944	20 606	22 071	25 297	26 244	29 176	30 468	32 452
Imports, f.o.b.	14 744	14 522	16 219	17 014	18 648	21 516	25 541	26 991	32 260
Trade balance	4 743	5 422	4 387	5 057	6 649	4 728	3 635	3 477	192
Services, net	—771	35	596	75	1 831[1]	2 244[1]	1 445	1 290	1 504
Balance on goods and services	3 973	5 457	4 983	5 810	8 480	6 972	5 080	4 767	1 696
Private transfers, net	—483	—489	— 534	—629	—617	—658	—648	—835	—724
Official transfers, net	—1 878	—2 088	—2 164	—2 179	—2 167	—2 177	—2 277	—2 241	—1 984
Current balance	1 609	2 880	2 288	3 004	5 697	4 138	2 155	1 692	—1 012
Long-term capital (ex. spec. trans.)	—3 221	—3 716	—4 243	—5 301	—6 033	—6 157	—5 077	—5 153	—1 442
(a) US direct investment	—1 674	—1 598	—1 654	—1 976	—2 328	—3 468	—3 623	—3 020	—2 816
(b) New issues	—554	—523	—1 076	—1 250	—1 063	—1 206	—1 210	—1 619	—1 372
(c) US long-term bank loans	—153	—136	—126	—755	—941	—232	337	285	504
(d) Government capital, net	—1 116	—1 540	—1 631	—1 891	—1 477[2]	—1 825[2]	—2 179	—2 496	—3 080
(e) Other, net [3]	276	81	244	571	—226	574[4]	1 598[4]	1 698[4]	5 322
Basic balance	—1 612	—836	—1 955	—2 297	—336	—2 019	—2 922	—3 461	—2 454
Non-monetary short-term capital	—461	—251	136	307	—264	723	284	—11	—948
Errors and omissions	—892	—847	—997	—244	—860	—315	—210	—532	—1 054
Balance on non-monetary transactions	—2 965	—1 934	—2 815	—2 234	—1 451	—1 611	—2 852	—4 005	—4 456
Private monetary institution' short-term assets	—995	—1 125	—324	—781	—1 524	325	—84	—744	632
Liquid liabilities to non-official holders	—21	672	7	895	1 794	486	2 904	1 642	5 746
Balance on official settlements	—3 981	—2 387	—3 133	—2 120	—1 191	—800	—32	—3 108	1 922
Liabilities to national monetary authorities	1 365	715	679	1 526	1 234	—466	—819	2 429	—2 614
IMF	742	—135	626	29	266	—60[5]	714[5]	—72[5]	—972[5]
Special transactions [6]	54	695	680	344	—19[7]	75[7]	426	25	186
Liabilities to other official institutions	118	373	241	—127	—194	—64	—321	579	—1 020
Change in reserves (+ = increase)	—1 703	—741	—907	—348	95	—1 316	—31	—146	—2 500
(a) Gold	—1 703	—857	—890	—461	—125	—1 665	—571	—1 170	—2 768
(b) Convertible foreign exchange	—	116	—17	113	220	349	540	1 024	268
(c) Other assets	—	—	—	—	—	—	—	—	—

1 Includes $72 million debt obligation payable by the UK but waived.
2 Includes $67 million debt obligation payable by the UK but waived.
3 Excludes changes in foreign long-term claims on United States commercial banks and investment by international organisations in US Government agency bonds.
4 Excludes liquification of UK Government portfolio (estimated at $500 million for 1965, $50 million for 1966 and $400 million for 1967).
5 Includes gold deposits by the IMF.
6 Debt prepayments received and Eximbank portfolio participation sales.
7 Includes waiver to United Kingdom. See notes 1 and 2.

NOTE: Detail may not add due to rounding. *Source:* US Balance of Payments Statistics, as adjusted by the Secretariat.

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